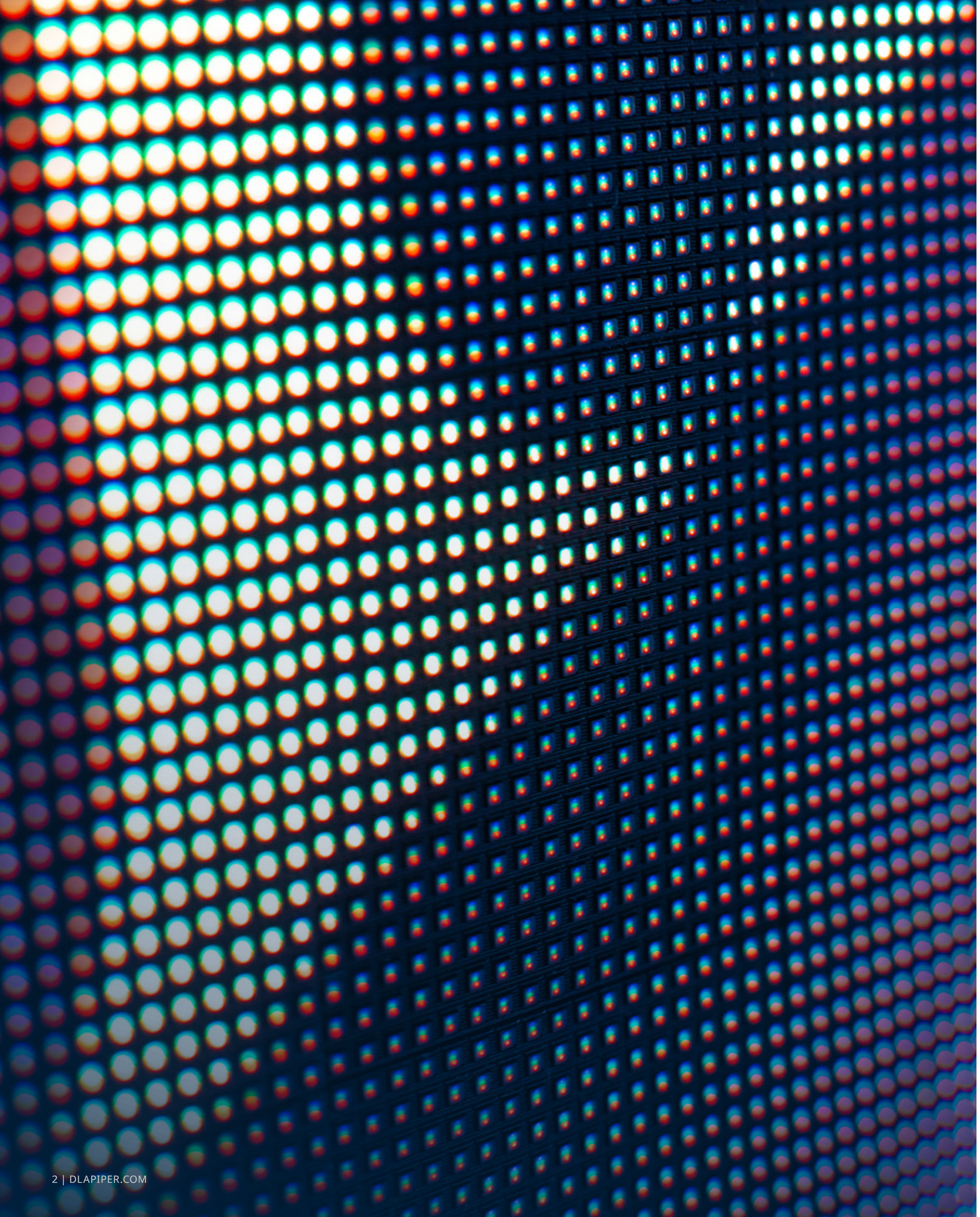
INTERNATIONAL DEBT FINANCE INTELLIGENCE REPORT 2025

Financing through change

DLA PIPER



Contents

Introduction

Welcome to the third edition of DLA Piper's Debt Finance Intelligence Report. In our previous report we analysed our deal data to see how borrowers and lenders were adjusting to the "new normal" of a higher interest rate environment and the terms and trends we saw emerging across the mid-market. Despite the headwinds and the much-talked-about "valuation gap" in the M&A space, there was a lot to remain positive about in the mid-market as we moved into 2024.

What did 2024 deliver?

Mixed results. The M&A and private equity market faced challenges due to ongoing geopolitical instability around the world, plus 2024 was "the year of the election". Add in the higher for longer inflationary pressures and interest rates, and perhaps it was inevitable that market participants would be cautious.

This cautious approach among dealmakers resulted in sponsors being more selective in the deals they transacted, possibly resulting in an increase of continuation vehicle deals. Similarly, we also saw all type of lenders (banks, alternative lenders and credit funds) focus on their key markets or relationships, with some withdrawing completely and others going back to their tried-and-tested sponsor clients, sectors or industries.

Corporate borrowers (listed or unlisted) enjoyed a better market. Banks were keen to support clients who had stronger results than immediately post-COVID-19 and we saw competitive terms being offered to borrowers across all sectors, leading to refinancings, repricings, tenor extensions and other amend and extend options being taken up. The trend for UK public to private deals that saw a significant uptick in 2023 continued into 2024.

The venture and growth finance segment of the market continued to be very active, with healthcare, technology and SaaS (software as a service) being the most active sectors. This continues to attract new lenders into the market, many of whom our dedicated venture and growth finance team work with.

Generally, while M&A activity remained subdued in the first three quarters of 2024, we saw somewhat of a year-end frenzy in the final quarter. The borrowing/lending market was overall positive, but selective.

As we moved into 2025, many commentators believed that with the elections in the rear-view mirror and hopes of inflation and interest rates reducing, the indicators pointed towards a pick-up in M&A deal activity. That's especially the case given the amount of capital raised and ready to deploy.

That said, at the time of writing, it's fair to say that global markets have experienced some turbulence. If this blows over, and confidence returns, then that capital can be put to use. Until then, the deals market may remain subdued.

Matthew Christmas
Partner
UK

What does the data show us?

Despite the twists and turns of an uncertain market, our data gives us (and our clients) greater clarity as to "what's market" in this time of change. Our key findings include:

- Competitive tensions have persisted throughout 2024, and this led to a downward trend in pricing.
- M&A was steady, yet uneven – not quite living up to the surge in activity hoped for by many optimistic commentators. As a result, we found that deal terms and flexibilities continued to favour sponsors and borrowers.
- Competitive dynamics and market conditions have been driving convergence in credit. Lenders are increasingly vigilant, closely monitoring each other's strategies and movements.
- Moving into 2025, markets have continued to experience challenges. That said, new M&A and leveraged buy-out activity is pointing toward a more positive outlook. There is a strong appetite from lenders to support M&A, and there's plenty of liquidity to fund these transactions.
- Innovation remains key. Deals are still being done in a challenging market, but it's increasingly important for advisors to be innovative and offer tailored solutions to their clients. Lenders' risk appetite continues to be measured – time, due diligence and careful consideration continues to be paramount.

How can DLA Piper help you?

We understand that one size doesn't fit all. While the data in this report highlights the overall trends we've observed in the UK and European leveraged finance space, we recognise that there are many factors that influence the deals being done across regions. We have a fully integrated and connected international finance team operating across all the major financial centres and have the capability to advise you across markets, asset classes and financial products. Our local knowledge, insight, and sector-focus ensures that we deliver solutions that are tailored to meet your specific needs.

Except as stated otherwise, the data referenced in this report is taken from over 275 UK and European debt finance transactions undertaken between 2021 and 2024.* We hope you find our report insightful. Your usual DLA Piper contact would be delighted to discuss it with you and your teams.

DLA Piper works on more M&A transactions than any other law firm in the world, and has done for each of the last 15 years (Mergermarket, 2010-2024). Consequently, we have unrivalled access to transaction data and are in a position to share our comprehensive view of market dynamics.

"Deal terms never stand still – so market participants need to stay nimble and plugged in to facilitate and design innovative and flexible funding options. This applies to sponsors, lenders, intermediaries and advisors."

Max Mayer
Partner
Netherlands

* Please be aware that due to rounding, the percentages presented in this report may not always total 100%.

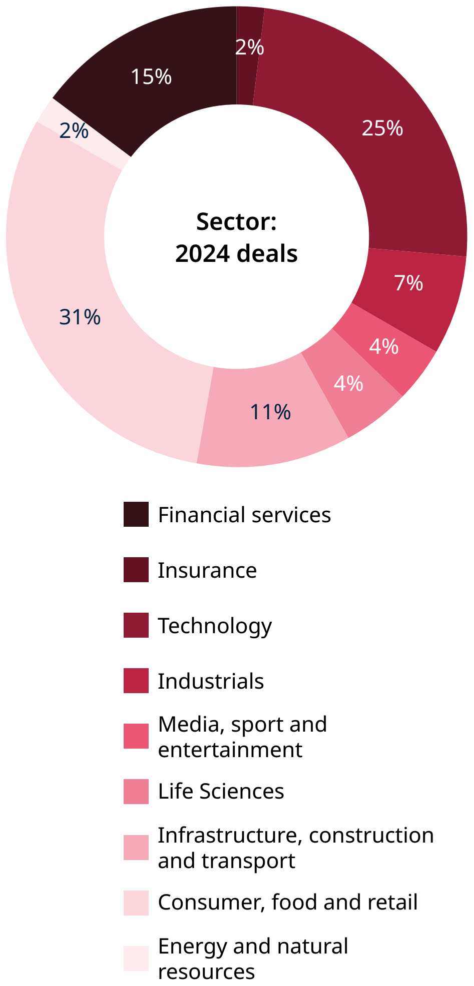
Part one

Market evolution – a look back at 2024

Continued sector focus

Sector specialisation allows lenders to develop deep expertise and understanding of the specific industries they serve. This knowledge enables them to better assess risks in today's market, identify opportunities, and tailor financial solutions that meet the unique needs of borrowers in those sectors.

While our data shows us that our 2024 UK and European sponsor-backed and corporate finance deal activity was broad, we can see that activity was concentrated in some key sectors, such as consumer, food and retail, technology and financial services. When we look closer at new money activity in 2024, sectors that demonstrate resilience and growth potential such as technology and infrastructure take up a much larger slice of the pie.



"Sector specialism is key. For lenders and sponsors to add value and assess risk, a deep understanding of the sector landscape in which borrowers operate is vital. This is particularly the case in the Venture and Growth space where we increasingly see debt finance teams focussing on specific technologies and business models. This allows them to tailor the debt offering to support those companies through growth and respond to changes in the market quickly."

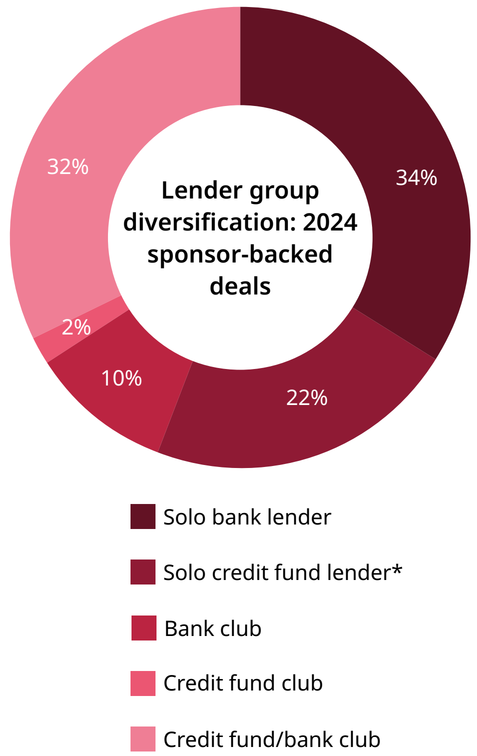
Stephen Bottley
Partner
UK

Club deals in a minority in many markets

In recent years, the debt finance space has seen significant trends in lender group diversification. This has been driven by the need for lenders to adapt to a rapidly changing market environment and to mitigate risks associated with economic uncertainties.

The same also goes for borrowers. With more options available, borrowers have been able to seek out the best terms and the right lender(/s) to support their strategy – whether this is with a sole relationship driven lender or a club.

In 2024, we've seen sponsored and non-sponsored borrowers have been predominantly using solo traditional bank lenders (34% of deals) and unitranche structures where the majority of the debt is provided by an alternative lender (32% of deals). What's clear from the data is that club deals are in a minority in many markets, indicating that sponsors and corporate borrowers are favouring an exclusive lending relationship.



"We've observed fewer club deals in France over the past few years when compared to underwriting or co-underwriting mandates. However, there was a notable increase in club deals in Q3 2024, with even more in Q4 2024."

Sophie Lok
Partner
France

* Note that most deals that are originated with a solo credit fund have the flexibility built in to add an RCF lender post-closing.

Market share swings in favour of credit funds

Despite the continued challenges of a higher interest rate environment, across our UK and European deals we've seen sponsors and borrowers turn to alternative lenders in 2024 for deals with a debt size over EUR100 million.

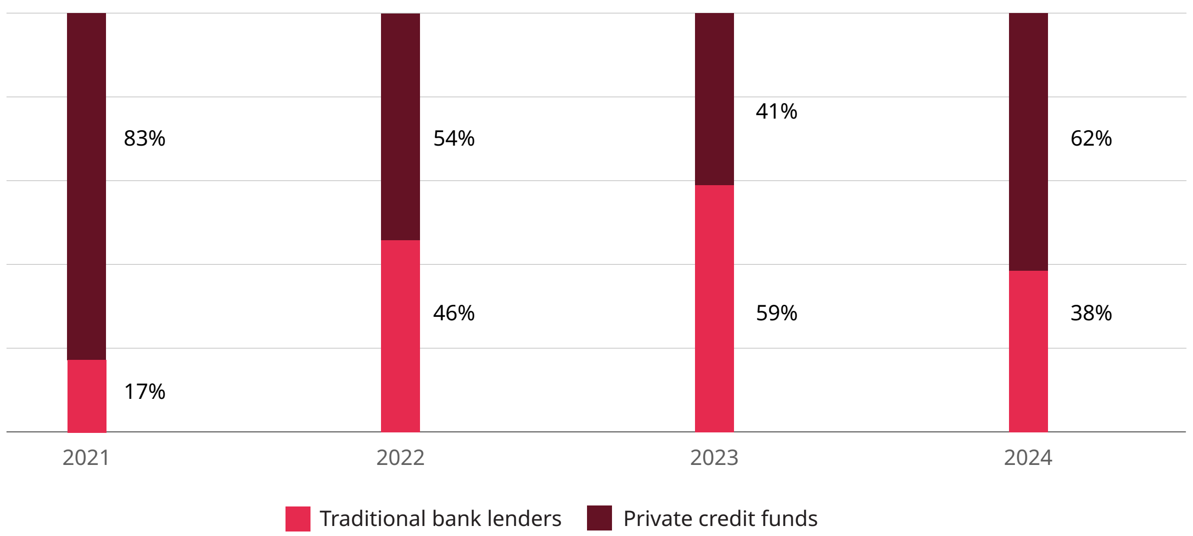
While this hasn't been the case in all regions across Europe, our overall data shows us that the mid-market continues to provide credit funds with compelling opportunities to deploy, where returns are typically driven by operational growth and value creation.

See part two, for more detail on the spreads we've seen for different deal structures.

> *"Private credit funds are increasingly active in the leveraged finance space, offering tailored solutions and stepping in where traditional lenders retreat due to risk aversion or capital constraints."*

Benno Leemans
Advocaat
Netherlands

Market share: debt size over EUR100 million



A thaw in M&A activity?

In early 2024, the markets faced significant uncertainty. There were concerns over fluctuating interest rates and potential political instability due during the year: it was estimated that roughly half of the population of the planet would be voting for their parliaments or presidents in 2024. All this resulted in a challenging environment for sponsor-driven M&A – the primary driver of private debt transactions across Europe.

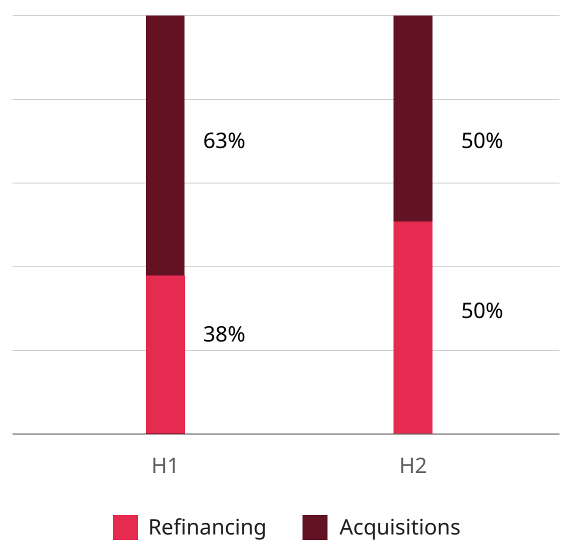
Origination was particularly difficult. Mid-market companies did fare somewhat better than their larger counterparts, but overall, new deal activity didn't reach the levels many had hoped for. Portfolio deals continued to be the flavour for 2024, with dealmakers using deferred consideration to bridge the "valuation gap" between sell-side expectations and buy-side willingness.

More recent developments have sparked optimism however. Central banks cutting rates, decisive election outcomes, and early signs of a revival in M&A activity have all contributed to a more positive outlook. Market confidence has improved, leading to a steady recovery. In addition, there's significant pent-up demand that could drive a robust resurgence in deal-making when markets fully recover.

> *"The geopolitical circumstances at the start of the year led to a sluggish market. Though not buoyant by year end it was improving: we'll take that!"*

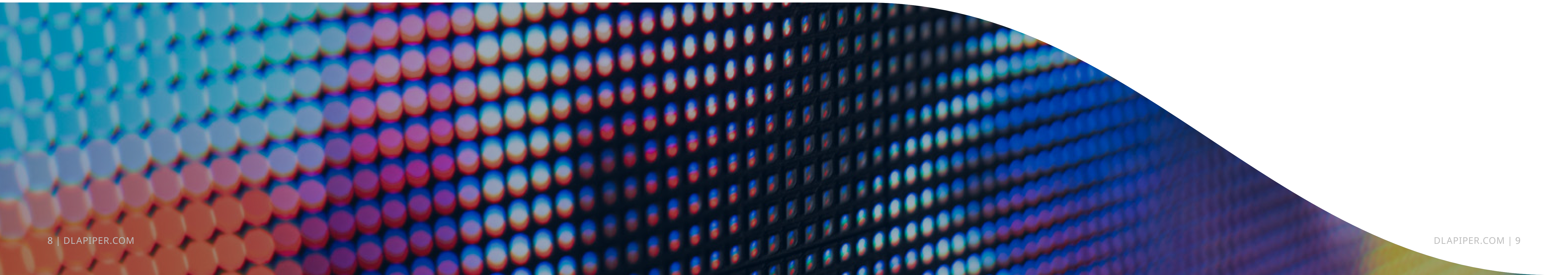
Sarah Day
Partner
UK

Sponsor-backed activity: 2024 deals



Advantages of falling interest rates

- lower debt-financing costs for potential buyers.
- should also feed through into an improvement in company cashflows and valuations, which should motivate sellers.



Diversification

In an era where the financing landscape has seen significant changes – driven by market conditions and regulation, we've seen lenders focus on their diversification strategies more than ever – not only to enhance portfolio resilience today but to prepare them for what's to come.

Over the past decade the market has seen a rapid expansion of private credit, boosted by the retrenchment of traditional bank lenders from leveraged loans and the growth of private equity. However, the challenges of today's market have led private credit funds to explore assets outside of cashflow lending that offers greater downside protections, such as:

- infrastructure and project finance assets
- asset-backed finance
- real estate

In addition to the diversification of asset classes, our global platform has enabled us to support funds looking to diversify across geographies to unlock opportunities.

Banks have also continued to diversify and implement innovative funding structures – by setting up their own private credit arms and/or partnering with funds so they can go to market together and present a no-fuss structure to debt advisors (with pre-agreed intercreditor principles).

Continuation funds

In the new world of higher for longer interest rates, asset level financings/refinancings have become expensive and exits have slowed significantly, forcing private equity funds to hold onto assets for longer.

Continuation funds allow sponsors to retain control over high-performing assets that still have growth potential beyond the typical fund lifecycle. This strategy enables sponsors to maximise the value of these assets without being forced to sell them at potentially inopportune times due to market conditions. Traditionally reserved for the large-cap deals space, the mid-market has shown a greater interest in continuation funds. They allow sponsors to offer liquidity to their limited partners and their other stakeholders without having to sell a performing asset to a competitor.

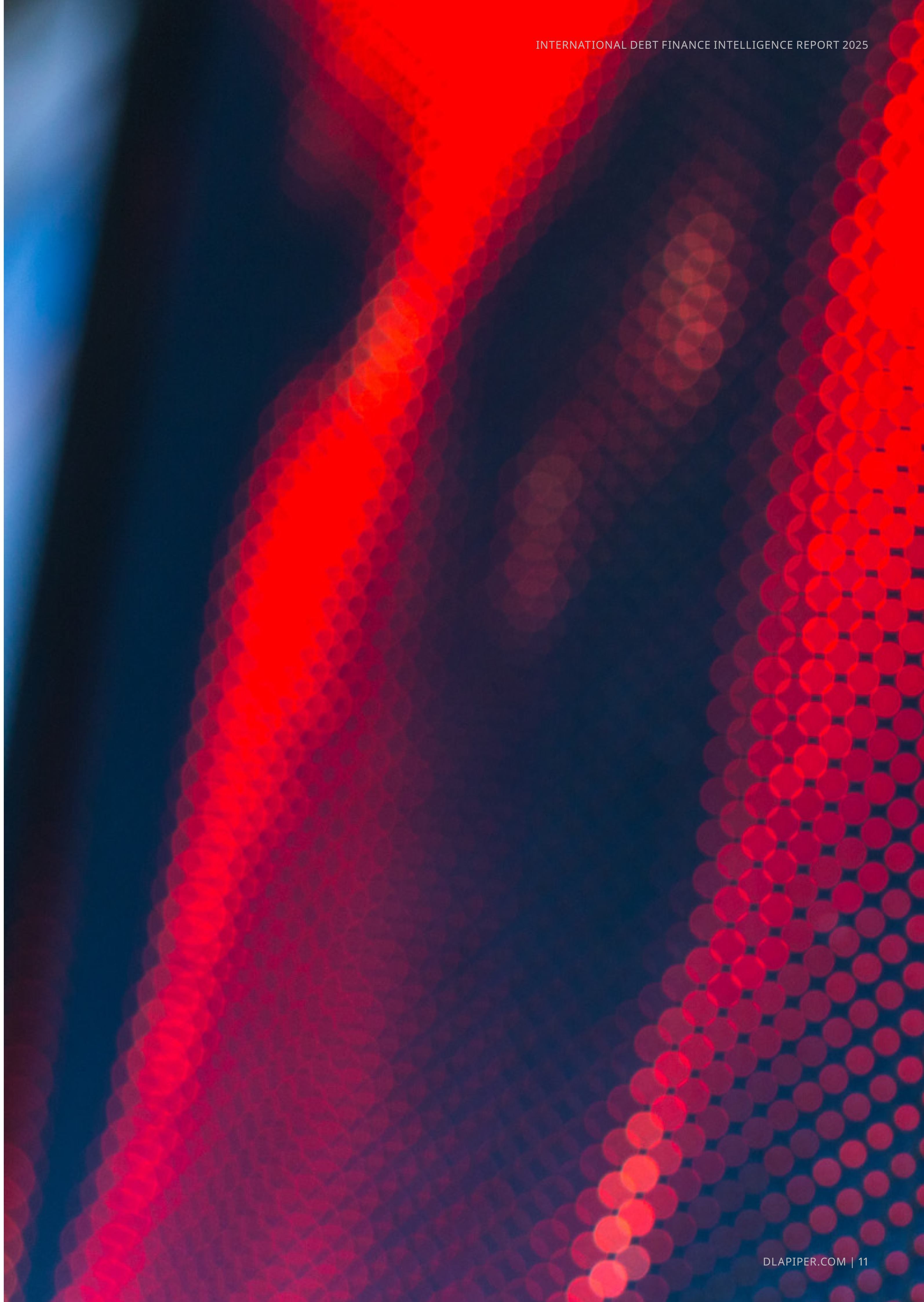
We've also seen private equity sponsors become more vigilant on the valuation front and conscious of the related risks of aborted deals.

Junior capital

Assets with highly leveraged capital structures have come under significant cashflow pressure as a result of the higher interest rate environment. And sense those assets looking to refinance or increase their debt capacity to fund bolt-on acquisitions or group initiatives may have found themselves needing to bridge a funding gap. In some cases, sponsors will use equity to help bridge the gap, but others will turn to more structured debt products.

Accessing incremental (cash-pay) debt facilities under an existing credit agreement may not have offered them the flexibility or cashflow headroom required.

In cases like these, we've seen sponsors explore the flexibilities associated with junior capital solutions – such as fixed-rate, payment-in-kind (PIK), preferred-equity and bullet repayments.



Deal economics

In 2024, the debt finance market experienced a notable shift in pricing dynamics, driven by a combination of macroeconomic factors and changing sentiment among market participants. Higher interest rates and tighter monetary policies globally have increased the cost of borrowing – resulting in lenders taking a measured approach to pricing.

In the UK we've seen median pricing across our 2024 unitranche deals hold at 2023 levels. While there's been a strong appetite to transact from lenders, and healthy competition for quality assets, some deals this year have required lenders to increase pricing to reflect risk.

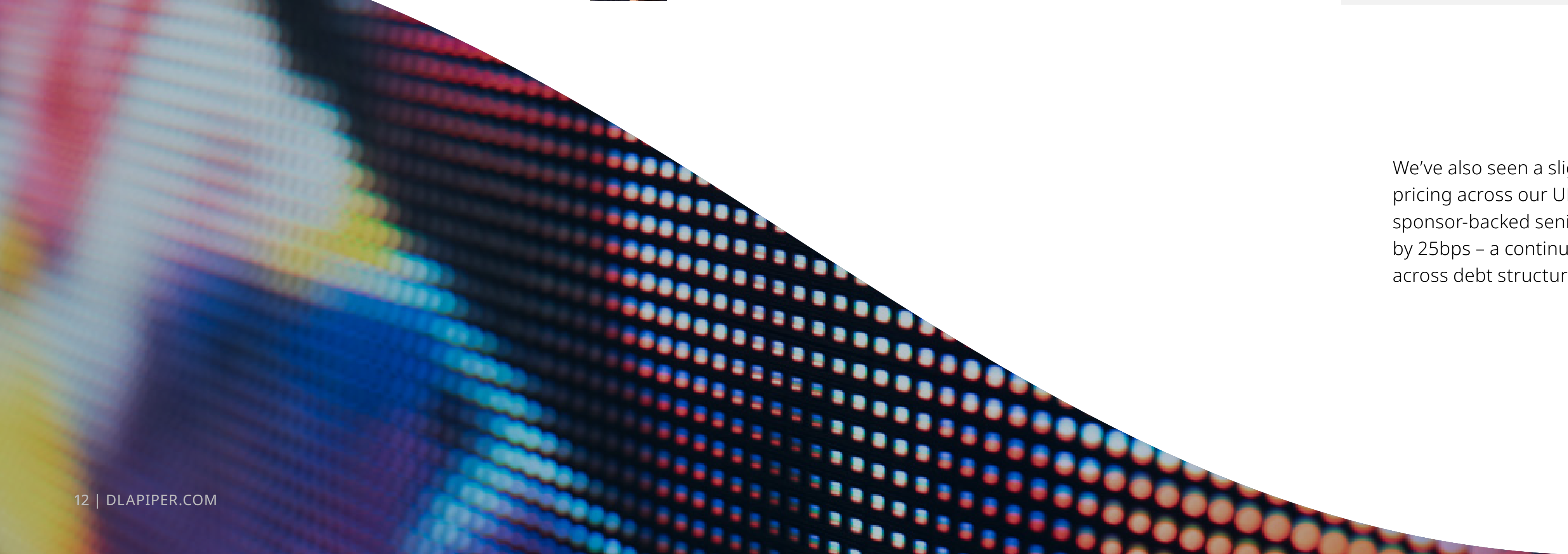
By contrast, across our European unitranche deals and senior debt deals generally, we've seen pricing come down. Although base rates have been on a downward trend this year, there's continued to be a great deal of caution in the market around debt serviceability. In Q4 2024, market dynamics resulted in certain jurisdictions reaching an all-time low for margin as well as other yield components such as upfront fees/payments.

> *"Relatively unexciting pricing changes reflecting what was, in retrospect, an unexciting year in the transactional markets. Do we have the nerve to hope for an exciting year in 2025, or would we prefer steady growth?"*

Sarah Day
Partner
UK

> *"As interest rates have come down, this has reassured market participants. There's now a strong belief that this will create new opportunities and less tension on business plans."*

Sophie Lok
Partner
France

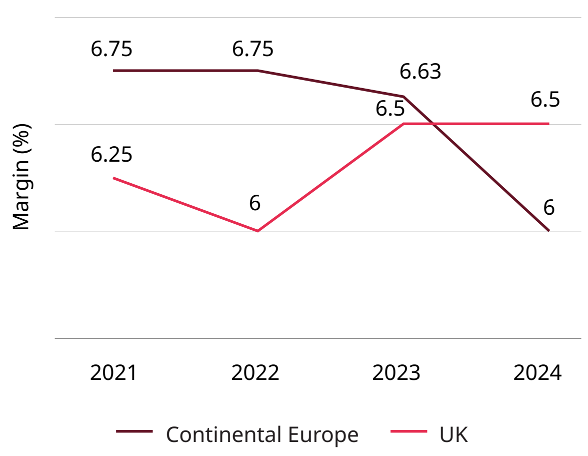


Pricing

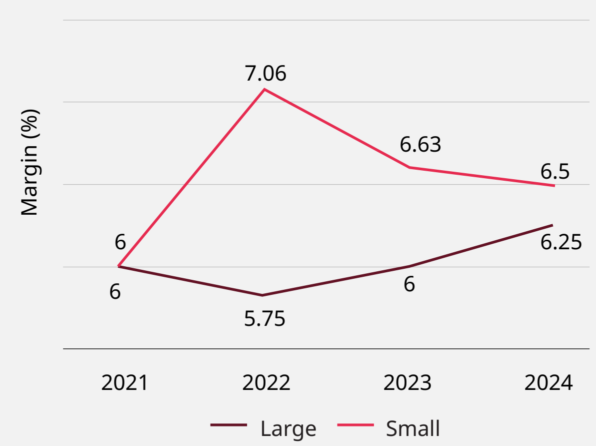
Margins have come down across our unitranche deals in 2024, but this hasn't been the case in all regions. While in the UK we've seen median pricing hold at 2023 levels, the dip in pricing across Europe was slightly more prominent at 63bps. When we look closer at the pricing in the UK, we can see that some deals closed in H2 did drive pricing upwards slightly and this coincides with when we've also seen grounds for optimism and deal activity improve.

Although there have been movements, mid-market pricing has remained relatively stable when compared to the large cap arena.

Opening margin (median): unitranche deals



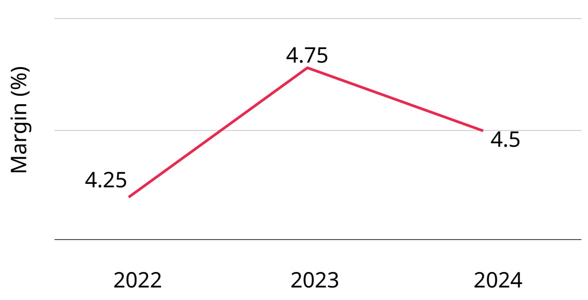
Opening margin (median): UK and Continental Europe unitranche deals by debt size



We continue to see a difference in the pricing between small deals (below EUR50 million) and larger deals (above EUR150 million) in the unitranche space, but we've moved away from the level of difference we saw in 2022.

We've also seen a slight tightening in pricing across our UK and European sponsor-backed senior deals in 2024, by 25bps – a continuing pricing trend across debt structures.

Opening margin (median): sponsor-backed senior deals



Margin ratchets

Margin at top of grid

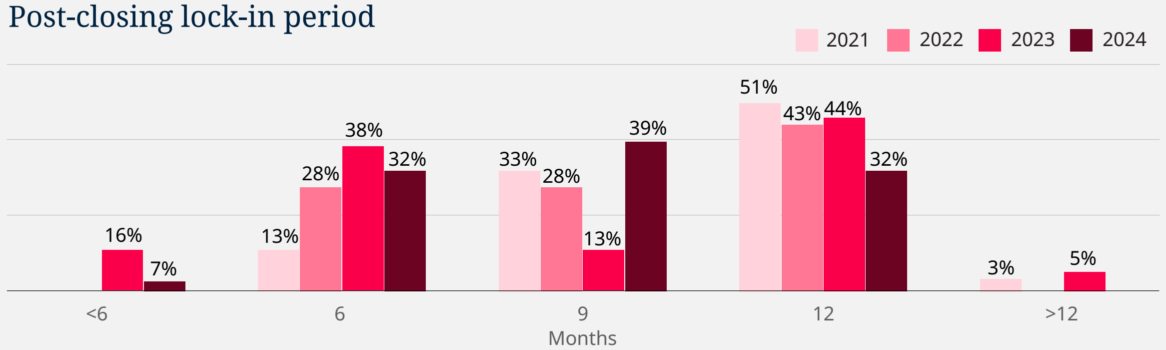
It's increasingly common to see the margin ratchet at the top of the grid when there's a material/credit Event of Default continuing, rather than the Loan Market Association (LMA) position of any Event of Default. The rationale behind that being it's the material/credit-related Events of Default (non-payment, insolvency-related, sometimes financial covenants) that most affect lender risk, rather than the non-credit-related Events of Default.

69% of our 2024 UK and European sponsor-backed deals provide that margin is at the top of the grid when a material Event of Default is continuing.

> *"Margin ratchets continue to serve as a pivotal mechanism for flexing the cost of borrowing dependent upon performance. The shortening of lock-in periods, and increase in step-downs, is reflective of the on-going competition for new deals, refinancings and re-pricings, which is set to continue into 2025."*

Liam Mills
Legal Director
Ireland

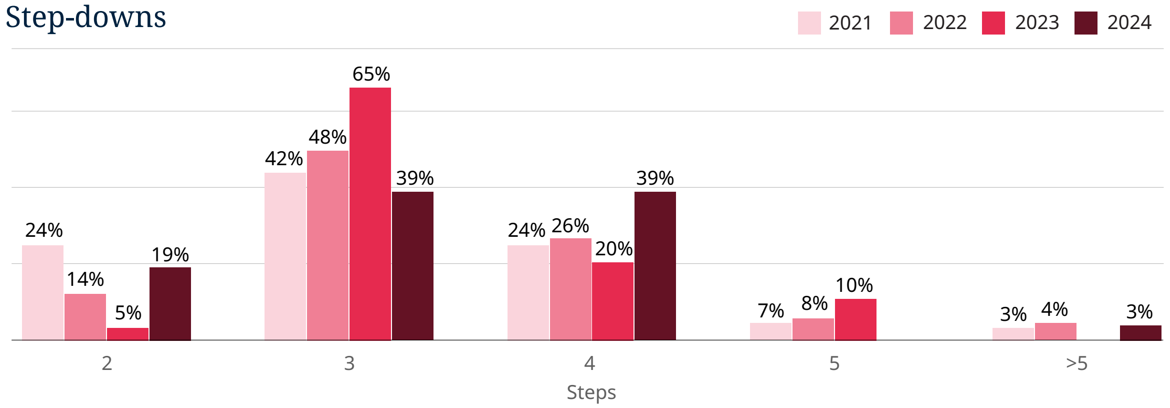
Post-closing lock-in period



Across our sponsor-backed deals we've seen a gradual shortening of the lock-in period post-closing (aka the 'ratchet holiday'), giving borrowers the opportunity to benefit from the ratchet step-downs at an earlier stage.

Of the deals that include a lock-in period, we've seen the proportion with a period shorter than 12 months grow from 46% in 2021 to 78% in 2024.

Step-downs



In 2024 we've seen a shift in the overall number of step-downs on our sponsor-backed deals, with a growing proportion with four step-downs, indicating greater flexibility for borrowers and their access to reduced pricing.

Leverage multiples and headroom

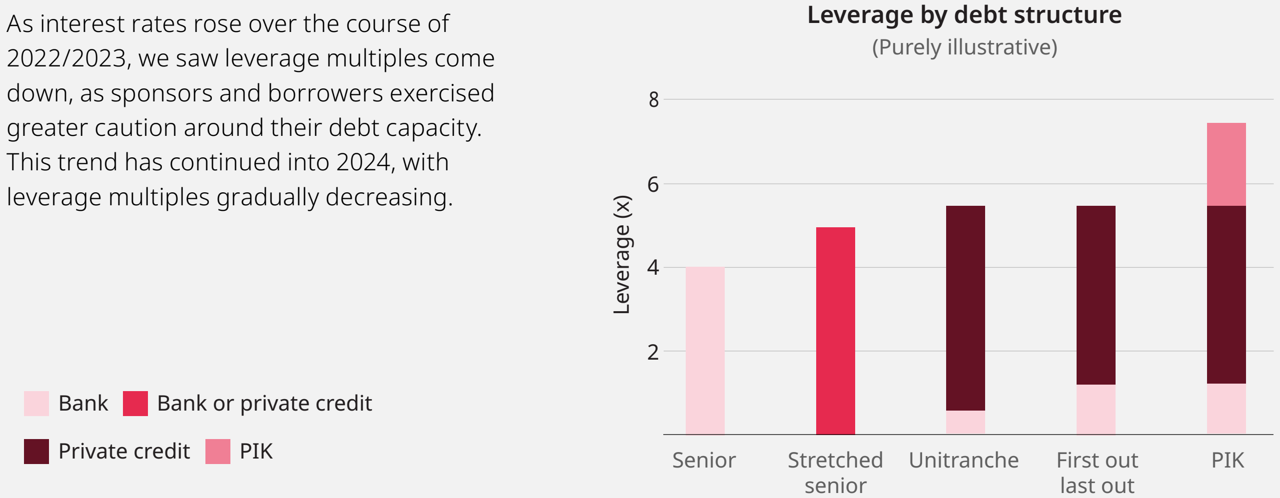
Over the years there's been a significant and sustained move towards only a leverage maintenance financial covenant – a trend that's now relatively common in the UK and European mid-market.

Sponsors seeking greater flexibility have increasingly drawn inspiration from the large-cap space, implementing additional headroom and allowances into their financial covenants.

These "cov-loose" structures, characterised by their relaxed requirements, have become increasingly prevalent, reshaping the landscape of mid-market lending. This shift has been driven by several factors, including increased competition among lenders, the influx of private equity capital, and the desire for more borrower-friendly terms. That said, in today's challenging market, where debt serviceability remains at the forefront of minds, our data shows us that market conditions have influenced dynamics.

Opening leverage

As interest rates rose over the course of 2022/2023, we saw leverage multiples come down, as sponsors and borrowers exercised greater caution around their debt capacity. This trend has continued into 2024, with leverage multiples gradually decreasing.



39% Across the majority of our 2023/2024 sponsor-backed deals (39%) we see the leverage covenant flatline more than four years after the closing date.

Deleveraging profile

Covenants set by reference to a base case model typically display a deleveraging profile – as the borrower's earnings increase, their leverage should decrease. This then aids a smooth refinancing of the loan at maturity and an easier exit for the lender.

That said, in recent years, it's become less common for covenant levels to decrease below opening leverage. Instead, many deals now include a "flatline" level, which is a minimum covenant level. This flatline is often set at or near opening leverage, but often includes some headroom.

Spotlight on super senior/unitranche dynamics

FOLO trends in the Dutch market

Market dynamics and institutional approaches determine the appetite for financial products, whether it be unitranche and RCF only or FOLO, especially in the mid-market space. Other drivers determine appetite for these products in the large-cap space.

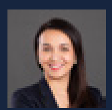
The Dutch mid-market has witnessed a clear trend that clearing banks are no longer willing to provide an RCF only – from a return perspective, it doesn't work for them. Deals are therefore structured so that they're underwritten by the credit fund, which gives the sponsor/borrower the comfort of deal certainty and speed of execution, with the imbedded flexibility of tranching the facilities to facilitate a FOLO (subject to agreed limitations). For a sponsor and their portfolio company this is beneficial as it ensures a committed working capital line plus a lower average weighted costs resulting from super senior pricing in the term debt structure.

Max Mayer
Partner
Netherlands

French market nuances

When documenting a super senior/unitranche deal in France, the RCF cannot be documented in the same document as the unitranche facility. The reason for this is the RCF is a loan product and the unitranche is a bond product.

While the intercreditor arrangements for a super senior/unitranche deal generally follow the UK market, there are certain important nuances that need to be taken into account when negotiating and documenting a French law intercreditor agreement to ensure it works for each class of creditors.



Sophie Lok
Partner
France

Headroom

Leverage covenants are typically set by reference to a base case model, to which an agreed level of headroom will be applied. This headroom gives the borrower/sponsor some degree of leeway in the event that the borrower fails to meet the EBITDA projections set out in the base case model for that relevant period before the borrower is considered in breach of the covenant.

Over the years we've seen headroom steadily creep up. In the vast majority of deals today we see the provision for headroom in the region of 30%–35%, with 40% headroom being reserved for our larger private credit deals.

In addition to covenant headroom, it's common for borrowers to have permitted adjustments that can be made to the calculation of EBITDA – further adding to the "loosening" of the leverage covenant. See part eight for more detail on this.

Assume drawn facilities

When calculating covenant levels, typically only the principal amount of the loan at inception (the day one term facility) is taken into account. It's crucial to exclude any additional loan amounts (delayed draw term or revolving credit facilities that may not be drawn) from these calculations. Including these has the potential to inflate the headroom by increasing debt without taking into account any changes to EBITDA.

See part four for more information.

JARGON BUSTER

Classic unitranche structure – typically comprises a revolving credit facility (RCF) (provided by a bank) and unitranche facilities (provided by a credit fund). In this structure, the bank is limited to providing the RCF, representing 0.5x-1.5x leverage and ranks in priority in relation to any enforcement proceeds (ie super senior).

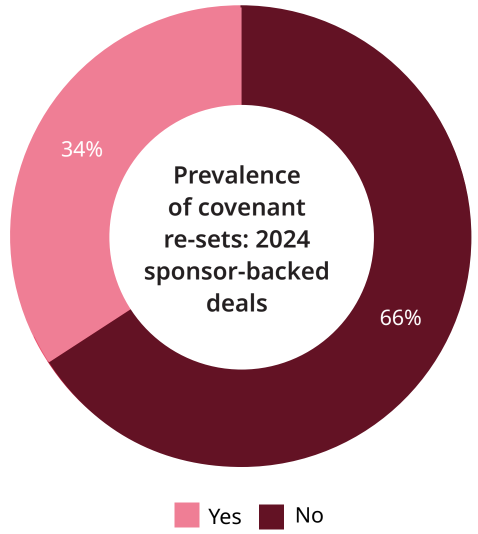
First out last out (FOLO) structure – the unitranche debt is split into two layers (by way of tranches or facilities): the first-out layer (tranche A), typically provided by the bank that also provides the RCF, and the last-out layer (tranche B) provided by the credit fund. The RCF and Tranche A rank pari passu and will rank in priority (ie super senior) in relation to any enforcement proceeds. Each layer will have its own pricing.

Covenant re-set

It's commonplace for borrowers to have the flexibility to incur additional or incremental indebtedness. But with financial covenants being structured at the outset of a deal, there's been a growing trend in the mid-market for sponsors to argue the case for an auto covenant re-set to ensure the maintenance covenants evolve with the business, rather than remain static (and in essence resulting in an erosion of agreed headroom by facilitating debt-funded growth).

A transformative permitted acquisition made by a business is a clear example of an event that can have an adverse impact on covenants, at least in the short term. In this case a borrower/sponsor (particularly those looking to implement a buy-and-build strategy) may want to have the ability to re-set covenant headroom (back to opening) following that debt-funded acquisition, without obtaining lender consent.

Just over a third of our 2024 UK and European sponsored deals include this flexibility.



There are various factors to consider in relation to covenant re-set mechanics and some of these include:

What sort of events can trigger a covenant re-set? In the mid-market we typically see this limited to transformative debt-funded permitted acquisitions that could adversely impact EBITDA. Some sponsors may argue that any drawing of the term facilities should trigger the option to re-set the covenants. However, as outlined in part four, not all delayed draw term loans are for a purpose that will have an accretive impact on EBITDA in the same way as an acquisition.

Do lenders impose timing/usage restrictions? The window a borrower/sponsor has to exercise a re-set is often linked to the availability period of the delayed draw term or incremental facility. Our data shows us that lenders typically impose a restriction on the usage of the re-set option to once or twice during the life of the facility.

To what level can the covenants be re-set? It's generally accepted that the agreed level of headroom at the outset of the deal is used again when re-setting the covenants.

Is the covenant re-set automatic? This depends on the extent to which the credit agreement sets out how the covenant profile is to be re-set and whether the lender is required to sign off on the updated model containing the revised EBITDA projections. At the very least, lenders will want to ensure that the updated model is prepared on the same basis and includes equivalent detail and methodologies as the original base case model.

Example conditions include:

1. information to be provided to the lender in support of the calculation of reset covenant levels
2. a minimum increase in consolidated EBITDA to trigger the re-set
3. time period and scale of de-leveraging
4. maximum covenant level following a re-set
5. no re-set for any existing non-performance
6. original agreed headroom to only apply to the acquired target EBITDA (with the existing group and headroom to continue unchanged)
7. no event of default continuing at the date of delivery of an updated model
8. minimum purchase price for the permitted acquisition

PIK toggles

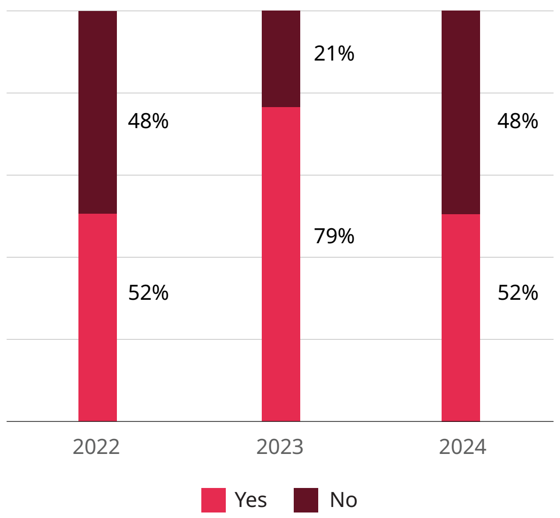
Our data shows us that the prevalence of PIK toggle across our UK and European unitranche deals has dipped slightly in 2024, although it's clearly still a common tool for sponsors and borrowers to ease cashflow pressures. While we've seen central banks bring interest rates down in 2024, borrowers and sponsors are aware that rates will remain higher for longer. The flexibility of being able to alleviate the immediate cash burden of debt repayments is highly sought after and is considered to offer valuable downturn protection.

The growing adoption of PIK is not without risks. The deferral of interest payments increases the overall debt burden on companies, making it more challenging to refinance and service debt in the long term, and it obviously eats into the sponsor's exit return.

If PIK elections are made, our PIK toggle data indicates that the amounts to be refinanced in the coming years have the potential to be significantly inflated. Of our UK and European unitranche deals that include PIK toggle flexibilities, the majority (35% of deals) are due to mature in 2030. Some market commentators have expressed concerns that there has been a growing dependence on financing solutions such as PIK to sustain solvency and the potential negative impact this could have on the wider banking industry and broader economy.

Although risks are present, PIK isn't inherently adverse. In certain circumstances, PIK can serve as an effective instrument for companies aiming to reinvest cashflows into growth opportunities instead of allocating them towards debt servicing, where the prospect of future returns outweighs the additional debt burden.

Prevalence of PIK toggles: unitranche deals



"I talk to this point later in the report. The use of a PIK toggle isn't necessarily a sign of financial distress – it offers short-term relief to borrowers that need it, though it can introduce long-term risks."

David Ampaw
Partner
UK

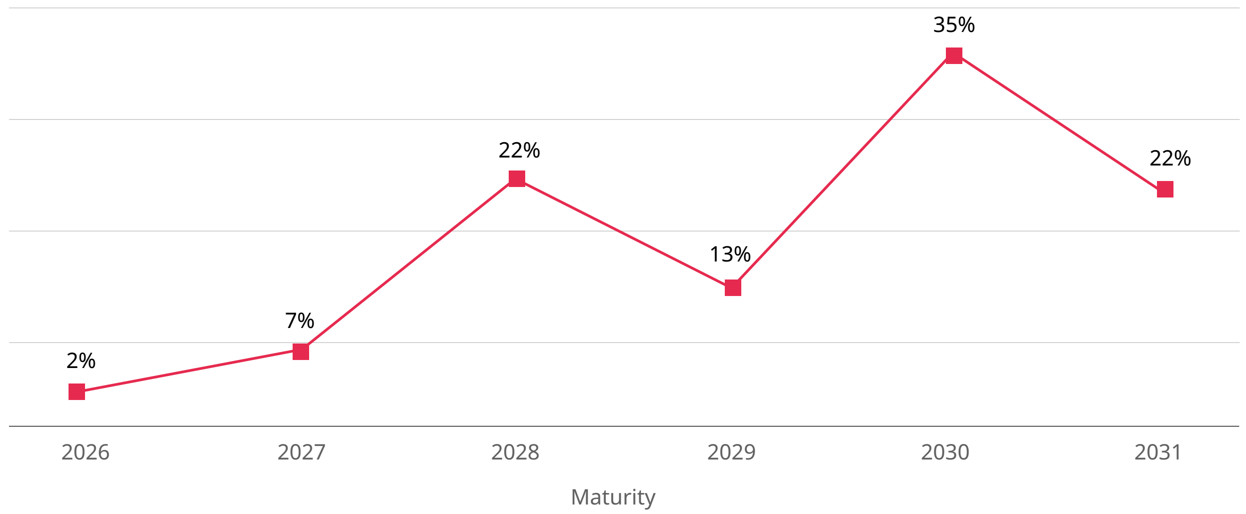
Maximum PIK (median)

2% — UK
2.5% — Continental Europe

Minimum cash pay (median)

3.625% — UK
4.5% — Continental Europe

Maturity wall: 2021-2024 unitranche deals with PIK toggles



Some of the key features of PIK toggles that we've seen on deals closed in recent years are:

Caps on PIK

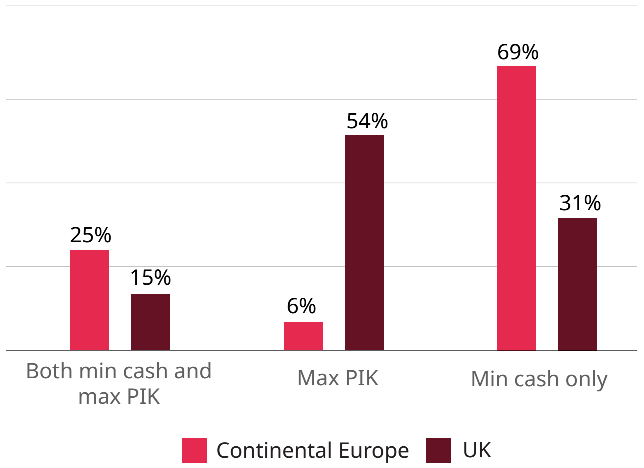
It's common for PIK toggle mechanics to include a cap on the maximum amount of margin that can be capitalised, and this can be achieved by:

- **Maximum PIK** – a limit on the amount of margin that can be capitalised (or PIK'd).
- **Minimum cash pay** – minimum amount of margin that must be paid in cash (ie that cannot be PIK'd).

Interestingly, we continue to see differing approaches when we compare UK and European deals. In the UK it's more common for lenders to use a maximum PIK threshold, whereas across Europe we see more deals use minimum cash pay controls.

We've seen very little change in the median figures for maximum PIK and minimum cash control, save that the median for the minimum cash pay has come down in the UK this year to 3.625% from 4.75% in 2023.

PIK toggle caps: 2023/2024 deals



JARGON BUSTER

PIK toggle – enables a borrower, subject to various conditions, to choose whether to capitalise (compound) some of the interest accruing on loans and add it to the principal outstanding, rather than paying the interest in cash.

Pay if you can – if the borrower satisfies various conditions, interest is to be paid in cash. Only when the borrower fails to meet these conditions will the payments switch to PIK and be capitalised/compounded as described above.

Holdco PIK – servicing debt payments at the holding company level relies on the income stream of the operating companies below the holding company. See part eleven of this report.

Premiums

Where a PIK toggle election is made, the aggregate margin will typically be subject to a premium, representing the increased credit risk profile for the lender.

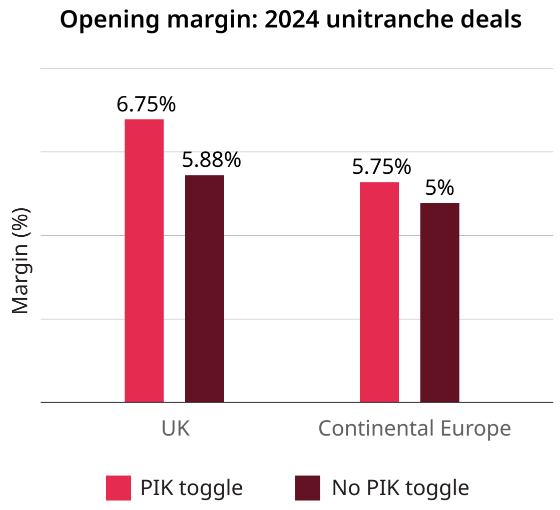
The median premium rates that we've seen have been slightly higher in the UK when compared to those from across Continental Europe. In the UK the premium is generally in the region of 0.5% per annum for every 1% of cash margin converted to PIK. Across Europe we see premiums in the region of 0.25%.

In addition, our data has enabled us to track the pricing differences between those deals with and without PIK toggles. It's evident from our 2024 data that, in addition to the premium, funds are achieving enhanced pricing on deals with PIK toggle flexibilities in the region of an extra 50–75bps.

While PIK income is recognised as income each quarter, credit funds don't technically receive the cash payments until the loan matures or is refinanced. This creates a liquidity challenge for funds that have to make distributions to their investors during this period. The slight margin increase that we've observed on deals with PIK toggle helps to mitigate this cashflow issue for credit funds.

> *"PIK can be a very effective tool, when used judiciously, for investing in future growth prospects of a company by relieving immediate debt servicing requirements."*

Charlotte Lewis-Williams
Partner
UK



Premium (median)

0.5%	0.25%
UK	Continental Europe

Part three

Venture and growth: Ready, steady, grow

Over the past year, we've observed steady growth in the global venture debt market. It was a record year for venture debt, with the highest aggregate deal value to date (Pitchbook). This is all against a backdrop of challenging equity markets, tougher trading conditions and governmental change, combined with high inflation and "stickier" interest rates.

Borrowers have emphasised portfolio expansion and inorganic growth. Many borrowers have been looking to amend or refinance their existing facilities to acquire opportunistic assets and undertakings, allowing them to continue growing despite difficult market conditions. We've seen an uptick in deal values compared to deal count, suggesting that high-quality borrowers are seeking larger tickets to support acquisitions and consolidation in their sectors.

We also continue to see many borrowers being reluctant (or unable) to raise further equity due to valuations that would result in significant downrounds. This has resulted in the increased use of subordinated convertible note structures to raise cash without pricing the stock, in order to buy more time to achieve growth and look to exit or refinance in a better market.

We've seen a flurry of new non-bank lenders entering the venture debt market in search of yield. This not only creates a more diverse and competitive lending landscape but also means that new geographies are being targeted as non-bank lenders look to tap into markets with strong startup economies. APAC, MENAT, and Latin America have all seen a particular uptick in activity compared to previous years.

Outlook

Alternative exit strategies: Following another lacklustre year in the equity markets, particularly in Europe, founders and early investors are planning for exits and the realisation of their investments. Traditionally, this would mean an IPO but instead we're seeing many businesses being acquired by competitors or specialist startup aggregators.

(More) consolidation: Consolidation remains a theme in the market, particularly as fewer companies seek traditional public market exits. We observed significant acquisitive activity in portfolios, especially where borrowers acquired tangential businesses or direct competitors that had run out of cash. We predict even more consolidation this year as borrowers look for alternative growth by acquiring more market share (particularly in the technology sector).

Deregulation and growth: Reducing red tape and regulation in traditional venture sectors such as technology, life sciences, and media appears to be a common talking point for various new Western governments. This deregulation, coupled with the prospect of lower rates in the medium term, should result in stronger growth prospects for borrowers. This also means a greater desire to access debt funding and secure capital before embarking on their growth strategies.

Compete or collaborate: We're seeing venture debt funds pool their resources by syndicating loans and writing joint tickets. This provides the funds with greater portfolio diversification, helping them avoid concentration risk in certain high-risk but high-reward sectors. It also helps them write collectively larger debt tickets, which are required by later stage companies.

Larger ticket sizes: This is partly due to the need to refinance facilities that have been PIK'd, but also because lenders are looking to provide multiple facility lines for various purposes aside from working capital (eg acquisitions, product development, and more).

Stephen Bottley
Partner
UK

US venture deals

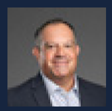
Venture debt had a strong year in the US in 2024 despite challenging times in the early-stage equity markets. This was largely because many companies who originally funded in the boom days of 2021/2022 were able to raise smaller equity rounds (typically either at a flat or down valuation) sufficient to provide just enough cash runway to allow lenders to refinance existing credit facilities and extend interest-only periods and/or push out maturity dates. This, in turn, has bought companies more time to hit right-sized performance milestones, hopefully finding a more hospitable climate for exit opportunities in 2025/2026.

The current key trends we're seeing in the US include:

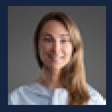
Competition: An increasingly competitive market (so more borrower-friendly pricing/covenant terms) with many new banks and private credit funds angling to win a smaller number of new-to-new transactions in a VC funding environment that remains tight.

Creativity: Lenders continuing to get more creative and turn to bespoke financing structures (typically reserved for up-market transactions) attuned to the specific financing needs of companies in the defence-tech, climate-tech, fintech and healthcare sectors.

Size: Larger credit facility sizes being advanced by lenders to growth stage companies with the proceeds used to finance management buyouts, recaps and secondary transactions in anticipation of an IPO in the back half of 2025 when equity markets may have rebounded.



Matt Schwartz
Partner
US



Laurie Hutchins
Partner
US

Germany venture deals

For the German venture debt market, 2024 was the second-best year after 2022, with a total of 43 deals – after only 31 deals in 2023 (according to the research unit of KfW). This growth was not only supported by lower interest rates than in 2023, but also the increasing maturity of the German startup ecosystem and a further continuing regulatory landscape, with policymakers focusing on creating a more supportive environment for venture debt.

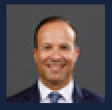
The current key trends in the German venture debt market are:

Volume: An increasing volume of growth venture debt as compared to traditional venture debt (now around 20% of the total venture debt volume).

Complexity: More complex financing structures have been established, including mezzanine financings and revolving facilities, in particular in the growth venture debt market for scaleups.

Maturing product: Growing confidence in venture debt as a viable asset class, driven by successful exits and the strong performance of venture-backed companies, also leading to increasing interest of institutional investors in venture debt in Germany (mostly pension funds and insurance companies).

Sector trends: Whereas the most important sectors have been energy, health, software (in particular anything related to AI) and fintech, the German market has seen the strongest growth in the area of security (information, defence and dual-use technologies).



Wolfram Distler
Partner
Germany

Part four

Understanding delayed draw term loans

A delayed draw term loan (DDTL) is a type of term facility that allows the borrower to draw funds in increments over a specified period, rather than having to draw the facility in full on day one. This structure provides flexibility for borrowers who want to have committed funds available for use at a later date on pre-agreed terms.

Why are DDTLs topical at the moment?

DDTLs have gained attention as they offer a great deal of flexibility in today's market. With businesses facing uncertainty around their cashflows and financing needs, DDTLs provide a way for a borrower to access funds as needed without having to "go to market" for event or strategy driven funding requirements.

This innovation is particularly relevant to the private credit market, where direct lenders have been using DDTLs to offer a day one financing option that (some) traditional banks are unable to provide in the amount sponsors are looking for to enable them to implement their investment strategies. The ability to finance future acquisitions and capital expenditures through DDTLs is appealing to sponsors – even if that means they are having to pay a premium for the certainty of those funds.

Where there is an identified purpose (such as a buy-and-build strategy), private credit funds are well positioned to offer committed yet unfunded loans. We've also seen traditional banks provide DDTLs to remain competitive, though this is typically on deals where the bank plans to hold its commitment. Where there are plans to syndicate a DDTL, this can prove to be more challenging.

	DDTL ADVANTAGES	DDTL DISADVANTAGES
BORROWER/SPONSOR	• **Flexibility** in managing capital needs • **Certainty** of funding (subject to meeting pre-agreed conditions) • Favourable to businesses with a **buy-and-build strategy** • Avoids the **uncertainty of an incremental facility process or re-negotiating a loan agreement** to include a new tranche of debt via an amendment and restatement process	• Potential for **higher overall costs** due to fees (especially if the facility is not used) • **Complexity/administrative burden** or managing multiple draw periods • **Concerns around transfers** – borrowers/sponsors will want to control transfers of an unfunded DDTL to ensure the credit worthiness of the incoming lender
LENDER	• Can be a **differentiator** in today's market • **Additional income** from fees such as a ticking fee and upfront fee	• **Risk that the borrower may default** on future draws, increasing the lender's exposure – limitations on utilisation are key • **Challenges around transfers** and the appetite for lenders purchasing unfunded commitments

Is a DDTL the same as a committed acquisition/capital expenditure facility?

A DDTL and a committed acquisition/capital expenditure facility (ACF) share similarities but aren't identical. Both are committed lines of credit, meaning the lender agrees to provide funds up to a specified amount under certain conditions. However, a DDTL goes wider than a traditional ACF and can be used for a variety of agreed purposes. Those usually include the refinancing of existing or add-on target indebtedness, repaying sponsor bridging loans, earn-outs and vendor loans or even general corporate purposes.

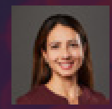
A committed ACF is (as its title indicates) specifically designed to finance acquisitions and capital expenditure. So while ACFs can be considered DDTLs, not all DDTLs are (pure) ACFs. The key difference lies in the intended use of the funds.

How does a DDTL differ from an incremental facility?

A DDTL and an incremental facility both provide mechanisms for borrowers to access additional funds, but they operate differently. A DDTL is a committed line of credit that allows for the utilisation of pre-approved amounts at specified intervals or upon meeting certain conditions. This means the borrower has a committed source of funds available when needed, which can be particularly useful for financing acquisitions or capital expenditures over time.

In contrast, an incremental facility is an option within an existing credit agreement that allows the borrower to ask for additional tranches or facilities. This feature is uncommitted and typically requires lender approval at the time of the request. Incremental facilities offer flexibility but don't provide the same level of certainty as a DDTL, as the availability of funds depends on the lender's willingness to extend or provide additional credit at the time of the request.

"We've seen a notable increase in the use of DDTLs, particularly in the private credit space. Lenders keen to partner with borrowers are designing flexible solutions to anticipate future funding needs. This type of "committed" facility is tailored to the credit profile of the company and can really distinguish relationship lenders."



Charlotte Lewis-Williams
Partner
UK

"The DDTL is an instrument evidencing the demand and supply relationship between sponsors and lenders. It's a tool that allows sponsors to achieve funding certainty for their investment strategy implementation requirements – and gives lenders (often private credit funds) the opportunity to deploy additional capital into an existing credit and thereby supporting those sponsors in implementing their investment strategy. One hand washes the other."

Max Mayer
Partner
Netherlands

What are the key drafting considerations for a DDTL

The structure of a DDTL will vary from deal to deal, but they generally follow the form of the unitranche term facility provided on day one – for example in terms of ranking and priority (pre and post enforcement), repayment, termination date and prepayment (whether voluntary or mandatory – pro rata across both the unitranche and the DDTL).

Here we take a look at some of the areas of difference and the market terms that we've seen credit funds offer on their DDTLs across the UK and Europe in 2024.

Availability period

Generally available from the closing date (once the unitranche facility has been drawn in full and the day one acquisition has completed). The DDTL is then typically available for a period of three to four years.

Use of proceeds

As outlined above, may include capital expenditure, funding permitted acquisitions, refinancing existing indebtedness, repayment of sponsor bridging loans, deferred purchase price instruments (vendor loans) or acquisition related contingent instruments (earn-outs), dividend recapitalisations (permitted payments), joint venture investments and general corporate purposes.

Minimum utilisations

Varies from deal to deal. The minimum utilisation amount will need to strike the right balance between meeting the borrower's liquidity needs and avoiding the administrative burden on the lender associated with funding smaller amounts.

Limitations on utilisation

Given the potential length of time between the day one funding and the drawdown of a DDTL, the conditions to utilisation are key to the lender. These typically include the following conditions:

- the day-one unitranche facility has been drawn in full;
- the proposed utilisation of the DDTL won't result in the leverage exceeding an agreed incurrence level on a pro forma basis being the lower of opening leverage (or such other agreed level) and the covenanted leverage ratio;
- a forward-looking covenant test;
- confirmation from the borrower that the intended use of proceeds is within the agreed application purposes.

Arrangement fee

The amount and timing for the payment of fees will be a key consideration for a borrower/sponsor and they will vary from deal to deal.

In the majority of cases, the arrangement fee will be split, with 50% of the fee being payable on the closing date, and the remaining 50% due on the earlier of:

- any utilisation;
- the end of the availability period;
- any prepayment (voluntary or mandatory); and
- any cancellation of any unused amount, of the DDTL (each on a pro rata basis).

Commitment fee

A non-utilisation fee is typically charged by lenders on borrowers to compensate it for reserving the funds for the DDTL.

The fee will generally start to accrue from the closing date until the end of the availability period and will be payable quarterly in arrears.

Margin

Interest will become payable on any drawn commitments of the DDTL.

Certain funds

We've seen a clear trend of credit funds offering DDTLs on a pre-wired "certain funds" basis. From a documentation perspective, this approach means the borrower has fewer conditions to satisfy before drawing down the funds (and the lender has less room to wriggle out of providing the funds). Note that DDTLs are typically put in place without there being a specific acquisition in mind.

This means the borrower has a real advantage when an M&A opportunity presents itself. The borrower would deliver a utilisation request under the DDTL on a "certain funds" basis and, provided the acquisition meets the pre-agreed criteria and the relevant incurrence conditions are met, the lender is then committed to provide the funds for an agreed period of time (often up to six months). In essence, the drawing of the DDTL offers a similar "certain funds" process to the day-one financing.

Availability period
Median period of 3 years

Minimum utilisations
Ranging from EUR250,000 to EUR2 million. Median of EUR500,000

Arrangement fee
Median of 2.75% per annum

Commitment fee
Median of 30% of applicable margin

Opening margin
Median of 5.75% per annum

Asset based lending – did our predictions hold true?

As it turned out, 2024 was a mixed year for ABLs, with lots of refinancing activity, bolt-ons and facility upsizing but slightly fewer big-ticket new-money transactions.

In last year's report we predicted that 2024 would bring:

- steady, if unspectacular growth
- growth in the syndicated ABL market
- continuing demand for cross-border ABL facilities
- (inevitably) some stress in sectors such as retail and automotive
- greater cooperation between asset-based lenders (ABLs) and term debt providers (including the use of pre-agreed intercreditor principles)

Some liquidity exited the ABL market as one European bank decided to reduce its ABL footprint in the UK. Besides the obvious impact on the staff and teams involved, this also led to a reshuffling of various syndicated ABL facilities as CFOs and debt advisors looked to fill the "gap". For the corporates that had to find a new lender under bilateral facilities (or a new facility agent), it was a reminder that changing your ABL provider can sometimes be a little messier than switching non-ABL facilities, given the use of proprietary IT platforms to notify receivables and dedicated collection accounts.

Behind the scenes, ABLs were wrestling with the implementation of regulatory capital requirements and assessing the impact on their balance sheets of the latest risk-weighting requirements for asset-based lending products. And ABLs with motor finance divisions spent Q4 2024 grappling with the fallout from the English Court of Appeal decision in the cases against FirstRand and Close Brothers in relation to "secret commissions" which had wider implications for the market – that is heading on appeal to the UK Supreme Court on 1 April 2025. We expect both of these issues will continue to cast a shadow in 2025.

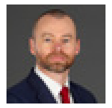
"Asset-based lending has huge opportunities before it in the international space. In order to access them however the ABL industry will need to be much less cautious about how it values assets and assesses the legal risks inherent in cross border financings. Deal sizes need to get larger initially to justify working through the complexities. We have people who are good at structuring solutions for clients: we need to implement more of those solutions."

Sarah Day
Partner
UK

Despite this, we expect the ABL industry to be active and innovative in 2025, with solutions continuing to be made available for those harder-to-fund sectors, as well as increasingly sophisticated asset-based facilities being structured for complex and cross-border businesses.

Practitioners in the Dutch ABL market, with DLA Piper as co-lead counsel, took the initiative in trying to simplify the documentation for deals being co-funded by term debt and ABL. There is now a standardised ABL ancillary facility agreement available, which has been designed to be put in place under an LMA credit agreement and has been approved by all members of the association for asset-based lenders in the Netherlands (FAAN). Market participants trust that this will facilitate the implementation of ABL lending alongside cashflow lending and alleviate some of the concerns around transaction delays and execution risk.

ABLs are often in competition with RCFs or other cashflow facilities that are "lighter touch" in terms of covenants and reporting, so we expect 2025 will see the stronger credits able to negotiate "ABL-lite" facilities. Smarter software and upgraded IT platforms will help to underpin "ABL-lite," with technology taking away more of the reporting burden and enabling better monitoring for stock, for example. The implementation of security law reforms in Scotland in 2025 will include some benefits for ABL structures which should give ABL activity in Scotland a boost.



Joseph Frew
Partner
UK

Adam Abou Habaga
Partner
Netherlands

Spotlight on security law reforms in Scotland

From 1 April 2025 the Moveable Transactions (Scotland) Act (the Act) will finally be in full force and effect and will radically overhaul how security can be taken over moveable assets and claims in Scotland, potentially bringing big changes for the ABL market.

In relation to moveable assets, such as plant and machinery, fleets of vehicles etc, fixed security will finally be available without the need to deliver the asset in question to the lender (which is clearly not practical where you need to keep using that asset for your business). The Act provides for the creation of a new category of statutory "pledge". This is a form of security which registers the lender's interest over the property. Notably, the statutory pledge does not require any possession of the assets. Instead, the security can simply be registered in the new "Register of Pledges" in Scotland.

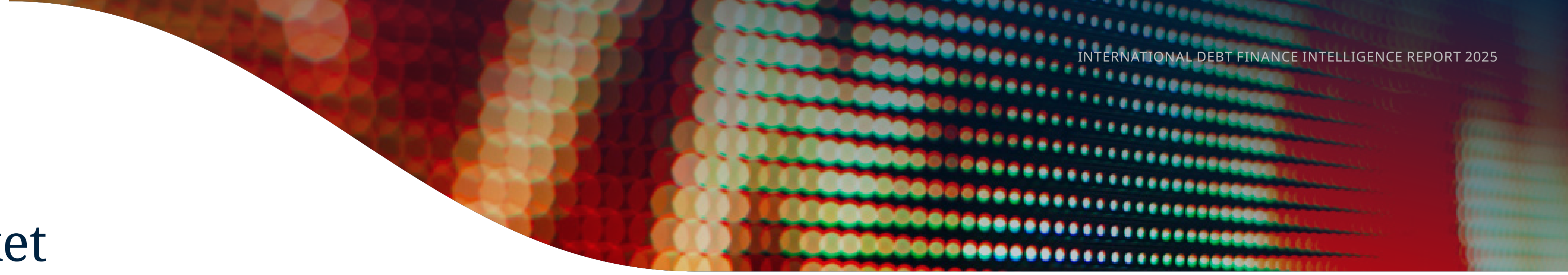
There are clear potential benefits for ABLs in being able to take fixed security and remove or limit the reserves that need to be provided for when ABL is secured solely by way of a floating charge.

The other change is in relation to rights (claims) which will be of particular interest in relation to receivables and invoice finance. Security over claims is currently more difficult in Scotland than some other jurisdictions due to:

- the need to send notice of any security (intimation) to the counterparties to the rights being assigned. For example, when assigning the right to payment under an invoice you need to tell the party with the payment obligation under it, otherwise no security is created; and
- the fact that security can only be created over claims which exist at the time such security is granted.

Both of these limitations will fall away (although intimation can still be made where required, eg if you want to receive payments under an assigned contract from the date of assignation) as registration on the Register of Pledges will substitute for the requirement for intimation, and future claims can be assigned as long as properly identified.

Allan Leal
Partner
UK



Part six

Five key trends in mid-market sustainability-linked loans

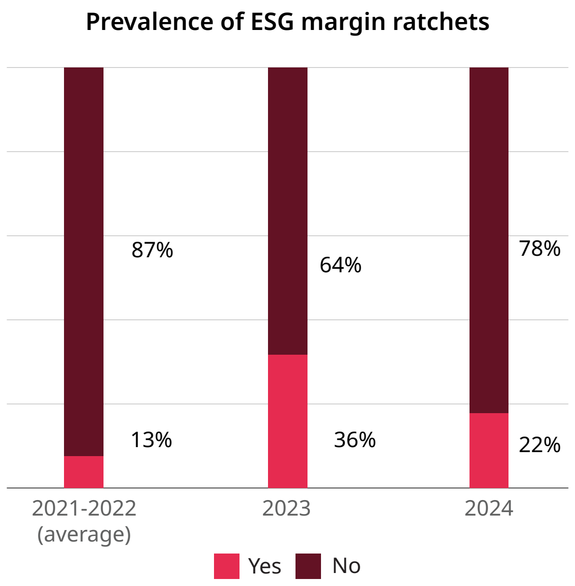
Sustainability-linked loans (SLLs) remain a crucial tool for promoting ESG goals and recent market developments have seen this product being viewed through a transition finance lens. As the SLL market continues to develop, it remains under great scrutiny and regulation, resulting in a speed of travel which, for now, is showing signs of plateauing.

01 Market flattens despite ESG remaining high on agenda

The SLL market has experienced a notable flattening in 2024, despite the continued emphasis on the ESG agenda. Some commentators argue that this trend marks a stabilisation in the growth rate of these loans, which had previously seen rapid expansion. However, in a year dominated by global election activity and challenging financial conditions, the flattening we've observed across our 2024 UK and European deals may suggest that borrowers have instead prioritised securing funding and speed of execution over implementing new SLLs.

Despite dampened new money activity in 2023/2024, we continue to see credit funds lead the charge when it comes to the inclusion of ESG margin ratchets in their loans. One explanation for this may be the differing regulatory landscapes for banks and private credit funds. Generally, these are relatively simple ratchets based on agreed KPIs and while many private credit funds had developed a 'house-position' as to those KPIs to be included, as the market has developed these metrics have become increasingly tailored to the underlying asset to ensure, from a sponsor's perspective, that the objectives and corresponding pricing benefit are achievable.

46% Prevalence of ESG margin ratchets increases to 46% when considered as a percentage of our 2024 private credit fund deals.



"Transition finance is currently a key focus for a number of market participants, with SLLs being viewed as a product embodying the potential to promote transition to net zero."

Mei Mei Wong
Partner
UK

02 Sleeper SLLs have become a regular feature in the mid-market

Sleeper SLLs are loans where the KPIs and related targets haven't been agreed at the time the loan is entered into, meaning the SLL provisions come into effect at a later date. The LMA has published guidance on this topic and has indicated that sleeper provisions should only be used in exceptional circumstances and such KPIs/targets should be agreed within 12 months of closing.

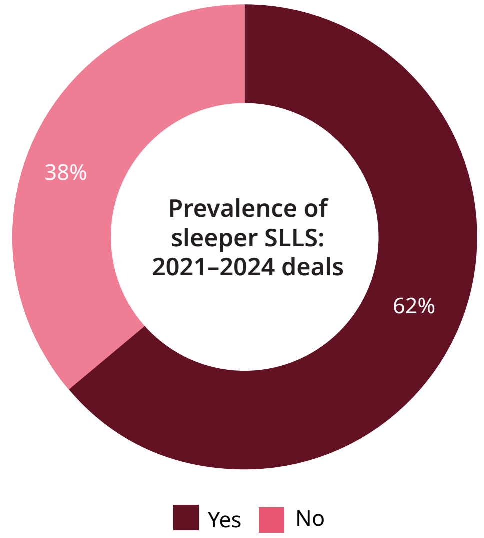
The data we've collected since 2021 across our UK and European deals indicates that 62% of the deals that contain ESG margin ratchets include sleeper SLL provisions. This is a reflection of the more bespoke KPI setting that we've seen in recent years and the time associated with agreeing meaningful KPIs and implementing processes to measure compliance as opposed to a one-size-fits all approach that had sometimes been taken by lenders when ESG ratchets first appeared in the market.

Sleeper provisions can take one of two forms:

1. the credit agreement may include full drafting on the ESG margin ratchet, including reporting and any verification requirements, save for the agreement of the specific KPIs; or
2. the agreement can be drafted more loosely as a commitment to agree the finer details at a later date.

The vast majority of deals we've seen with sleeper provisions take the form of option 1 above.

67% Of our 2024 UK and European deals that include sleeper SLLs, 67% require the KPIs/targets to be agreed within a period shorter than 12 months.



"While our overall data gives us (and our clients) insight into the macro themes and trends across the UK and Europe, real value comes from us being able to drill down into regional datasets, allowing us to compare and contrast our findings. France has been at the forefront of ESG developments in recent years – with the vast majority of our leveraged finance and corporate financings including either full ESG (upward and downward) margin ratchets or sleeper provisions (with KPIs to be agreed within 12 months). The speed of execution will determine the route taken."

Sophie Lok
Partner
France

03 Pricing incentives remain limited

Our data shows us that price incentives for SLLs remain limited – with margin adjustment discounts in the region of 0.025% to 0.15% per target. Some suggest that enhancing the economics of these products could make sustainable finance more attractive to borrowers.

The increasing engagement with the ESG agenda appears to be more influenced by shifting societal expectations and the growing recognition of the potential for robust ESG practices to generate value (or prevent value erosion), rather than by pricing considerations.

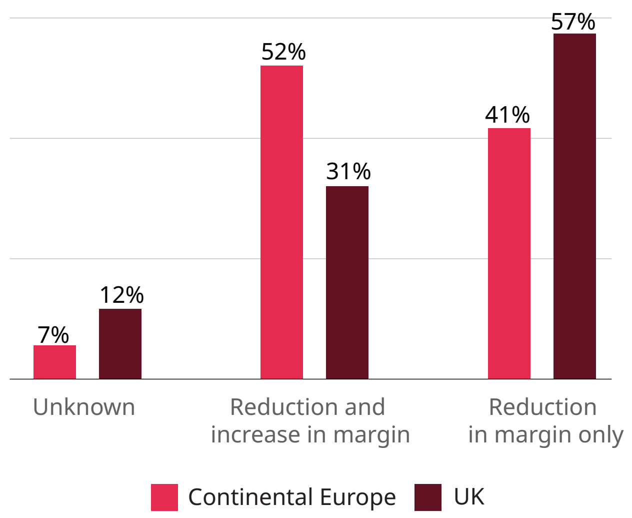
In the UK, margin ratchets continue, in the main, to have an upside only from a borrower's perspective (ie decreases in margin only) although that would seem to be changing such that upward margin adjustments are also now frequently included. In general, mainland Europe appears to have moved in that direction more quickly, with the majority of disclosed deals now including the margin uplift.

04 Transparency is key

The market has shifted towards improved disclosure standards that need to be reviewed by an independent third party, such as auditors and/or an accredited body. While transparency is a key driver in building credibility in this space, the cost of external verification and certification can be prohibitive for some mid-market borrowers and off-sets the potential benefits of an SLL-linked margin reduction.

As the market develops, the call for market-standardisation and science-based KPIs is strong. This would generally be seen as a positive move for the mid-market given the potential to reduce the costs associated with external verification and certification. We've seen a growing number of lenders partner with ESG-specialist agencies to assist them in rating a borrower's ESG credentials. This has offered a cheaper alternative process which enables parties to prioritise transparency.

Margin adjustments: 2021-2024 deals



Note that some of the details associated with ESG margin ratchets may be agreed post-closing and we may not be involved in the documentation process. For transparency, this data has been recorded as "unknown".

> *"The requirement for independent verification of satisfaction of ESG criteria has become increasingly common. The fact that there has been a shift in that direction despite the obvious cost factor for borrowers is perhaps indicative of the increased importance sponsors are themselves placing on ESG matters in their investment portfolios – and not purely to benefit from a small reduction in margin from their lending partners."*

Richard Normington
Partner
UK

05 Regulation is on the rise; but so too is industry support

Another factor that may be dampening the SLL market is the increasing scrutiny and regulation, with UK and European regulators set to increase their focus on implementing the sustainable finance framework in 2025. The push for more rigorous and transparent ESG criteria has led to many lenders being more selective in their lending process. Lenders and borrowers now have to adhere to stricter guidelines, which may have slowed down the issuance of new SLLs. When this is compounded with the need to avoid greenwashing, ensuring that the KPIs/targets are impactful and aligned with the borrower's core business strategy, you see that there are extra hurdles for deal makers to overcome.

The joint efforts of the LMA, LSTA and APLMA in developing a uniform set of principles and guidelines for SLLs have led to the establishment of a consistent framework applicable across various jurisdictions, with a view to maximising the impact and credibility of SLLs. As at the time of this publication, those industry bodies are working together in updating the existing principles and guidelines for SLLs (as well as those relating to use of proceeds products). It's anticipated that these industry associations will continue to play a pivotal role in promoting consistency across different markets as sustainable finance products evolve. Recent market developments have seen SLLs considered in the wider context of transition finance, which is a topic of particular focus for a number of lenders, particularly in light of the recent report published by The Transition Finance Market Review on "Scaling Transition Finance". The LMA has reacted by putting in place a transition loans taskforce with a view to developing guidelines in respect of such products and we expect further developments in the near future on that front.

LMA Sustainability-Linked Loan Principles – Core Components

Key performance indicators (KPIs) – must be material to the borrower's core sustainability and business strategy and address relevant ESG challenges of its industry sector.

The KPIs shall be:

- relevant, core and material to the borrower's overall business, and of high strategic significance to the borrower's current and/or future operations;
- consistent with the borrower's overall sustainability strategy;
- measurable or quantifiable on a consistent methodological basis;
- where feasible, externally verifiable; and
- able to be benchmarked.

Sustainability Performance Targets (SPTs) – the process for calibrating the SPT(s) per KPI is key to structuring SLLs, since it will express the level of ambition the borrower is ready to commit to.

Part seven

Region under the spotlight: Norway

In 2024 the Norwegian financial landscape showed resilience and adaptability in the face of economic challenges and global trends. We saw marked recovery in key sectors such as private credit, a proactive approach to sustainability through ESG practices and notable advancements in fintech. However, challenges in the commercial real estate sector and the broader impact of inflation and interest rate fluctuations continue to pose challenges.

Recovery in the private credit market

In 2024, the Norwegian private credit market experienced a notable recovery, with increased issuance and strong investor interest. The high-yield market was particularly active, marked by record-high levels of activity and participation from both recurring and new issuers.

There was growing interest from non-Nordic European issuers in Norwegian high-yield bonds, highlighting the market's appeal beyond its traditional regional base.

The covered bond market also showed significant signs of normalisation. After a slow start, supply reached levels comparable to the previous year, indicating stabilisation in private credit issuance activity.

Overall, the recovery of the Norwegian private credit market was characterised by robust growth in high-yield bonds and covered bonds, underscoring improved market conditions and increased confidence among private credit issuers and investors.

Commercial real estate

The commercial real estate sector faced notable challenges in 2024. Investment activity in the sector slowed significantly, with a decline in transaction volumes compared to earlier quarters.

Elevated inflation and rising interest rates increased the cost of borrowing, creating financial strain for property owners and developers. Furthermore, sector-specific vulnerabilities emerged, particularly in the office segment, where shifts in work patterns led to higher vacancy rates and reduced tenant demand.

These factors highlighted the ongoing pressures on the commercial real estate market and underscored the need for strategic adaptation to navigate the evolving landscape.

Many new developments in ESG

Norway has witnessed significant advancements in ESG practices, reflecting a deepening commitment to sustainability and responsible business conduct.

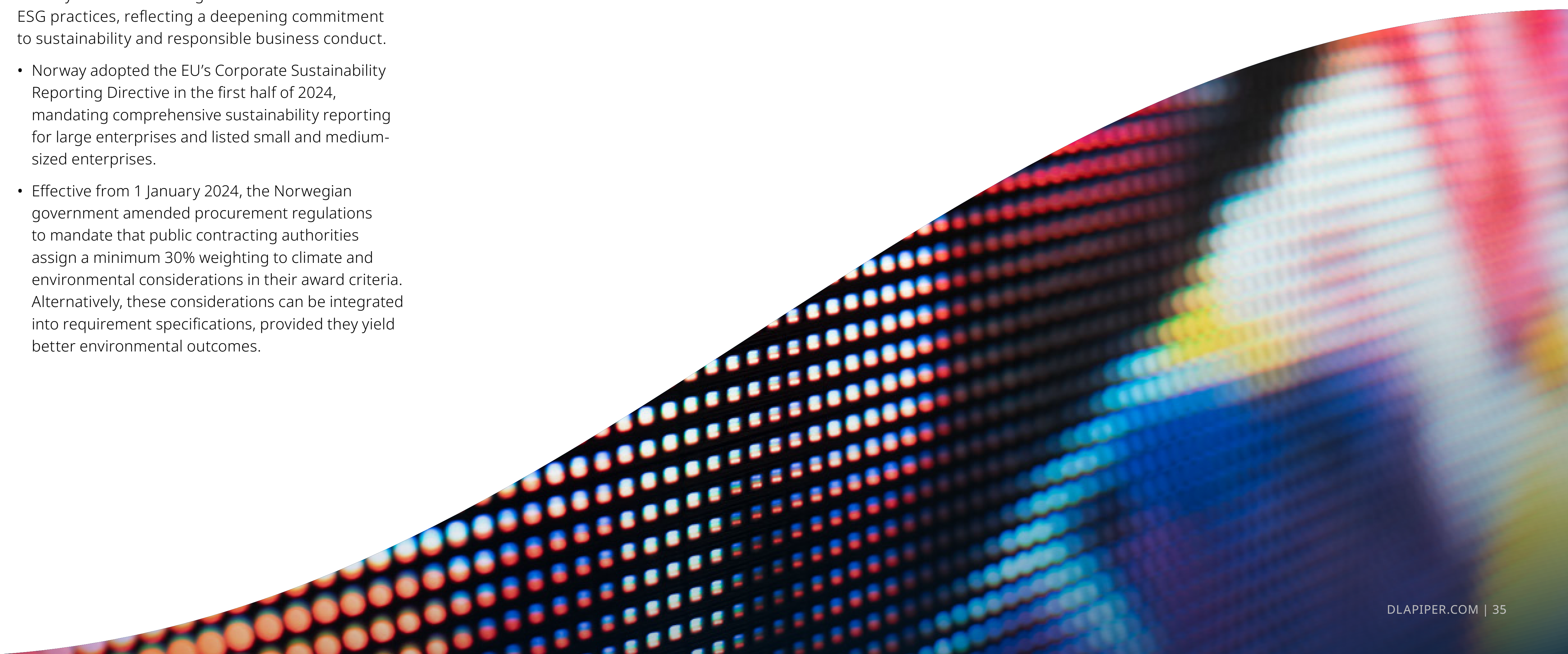
- Norway adopted the EU's Corporate Sustainability Reporting Directive in the first half of 2024, mandating comprehensive sustainability reporting for large enterprises and listed small and medium-sized enterprises.
- Effective from 1 January 2024, the Norwegian government amended procurement regulations to mandate that public contracting authorities assign a minimum 30% weighting to climate and environmental considerations in their award criteria. Alternatively, these considerations can be integrated into requirement specifications, provided they yield better environmental outcomes.
- Norway's Government Pension Fund Global, the world's largest sovereign wealth fund, tightened its climate risk demands on companies in its investment portfolio. This move reflects a strategic effort to mitigate climate-related financial risks and promote sustainable business practices among investee companies.
- The sustainable debt market in Norway demonstrated resilience and growth, with an increasing number of debt instruments incorporating ESG criteria. This trend aligns with the global shift towards responsible investment and reflects a growing recognition of the financial materiality of ESG factors.
- Kommunalbanken Norway (KBN) has been instrumental in financing climate-related investments in the local government sector via its Green Bond Programme. The net proceeds from KBN's green bonds are allocated to green loans that support the transition to a low-carbon, climate-resilient future in Norwegian local communities.

Digitalisation and fintech

The fintech sector in Norway has been vibrant, with significant events fostering innovation and collaboration.

The Norwegian payment application Vipps became the first service to leverage a more open iOS ecosystem, allowing users to perform contactless payments and set the app as the default payment option on iPhones. This development followed Apple's compliance with EU regulations aimed at fostering competition and innovation in digital payment services.

Børge Grøttjord
Partner
Norway



Region under the spotlight: Sweden

In recent months, we've witnessed a notable increase in restructurings in Sweden, with some notable high-profile cases. Informal restructurings, particularly liability management transactions, have also become more prevalent – often involving strategic asset transfers to manage creditor claims. In addition, the infrastructure M&A sector has seen an increase in activity and this has been driven by regulatory change and market dynamics.

Liability Management Transactions

In the last 12 to 18 months, Sweden has seen a wave of formal and informal restructurings (SAS and Northvolt being the most prominent examples of formal proceedings). In the informal space, liability management transactions have been a prominent feature of the market, and they're gaining wider market acceptance and recognition.

The most common transaction structure seen in the market has been a variety of "drop-down" transactions, where gaps in covenant obligations in existing finance documentation are exploited to remove assets from the reach of a certain class or classes of creditors.

The most striking examples in this cycle were the couple of transactions completed by SBB, the Swedish real estate holding company and one of the largest social infrastructure property companies in the Nordic region. SBB was under financial strain because of its highly levered structure and saw the need to deconsolidate.

The transactions were framed as joint ventures. A joint venture entity funded by SBB's joint venture partner Castelake was set up to acquire assets at market value from different parts of the SBB group and to refinance debt owing to SBB. SBB in turn employed the proceeds from the transaction to strengthen its balance sheet and repay debt sitting in other parts of the structure.

The total security value in each transaction was almost twice as much as the value of the loan proceeds flowing to the joint ventures, but these transactions didn't require any consent from any SBB bondholders. The company continues to manage the properties on behalf of the joint venture companies.

Oriflame, the Swedish cosmetics firm, also recently designated four subsidiaries as unrestricted subsidiaries under existing bond terms. This put the assets out of the reach of bondholders and revolving lenders with a view to using the assets of these subsidiaries to secure fresh financing as Oriflame faces significant maturities in the autumn of 2025 and spring of 2026.

In structuring these types of transactions, one of the main tasks is the insolvency analysis and making sure that no element of the deal runs foul of the statutory restrictions that the law imposes on insolvent entities. By way of example, insolvent entities are generally bound to pay off debts in order of maturity so as to not unduly favour one creditor at the expense of others, which is associated with criminal liability. An insolvent entity would also run the risk of sold assets being clawed back in a future insolvency proceeding.

Sweden has a favourable legal environment in pursuing these types of transactions given that the insolvency analysis is done on an entity-by-entity basis with the law not recognizing substantive consolidation or similar concepts for purposes of insolvency. The upshot of this is that financial distress at the parent level won't flow down and taint transactions undertaken in other parts of a group of companies. If done correctly, you can achieve a sort of quasi-bankruptcy remote status for certain parts of a group of companies.

Infra M&A

Infrastructure M&A in Sweden is strongly associated with acquisitions and investment in the energy sector and, to a degree, in social infrastructure, primarily in social infrastructure real estate assets.

In the energy sector, a confluence of events (change in the political landscape and public sentiment, rising interest rates, supply chain issues flowing from geopolitical uncertainty) have contributed to a marked slow-down in activity compared with the market highs of 2022-2023. A notable exception at the higher end of the market in 2024 was EQT Infrastructure taking leading Nordic renewable energy developer OX2 private with a view to transforming it into an independent power producer.

Segments of the market that remained very active in general were in the lower to mid-parts of the market, where there was lots of M&A and platform investment activity in the development space with a particular focus on battery energy storage solutions. Significant capital expenditure and lending isn't expected in the immediate future but rather in the mid-term.

A combination of regulatory and policy support will be needed to get many of these projects off the ground and ready for debt financing. This is especially so with respect to the several large-scale green fuel projects that have been announced in the last 12 months. Projects are caught in a catch-22 situation in that financing isn't available unless you've secured an off-take or sales contract for your products, but demand for the products won't be sufficient unless underpinned by regulatory support.

In the energy sector, political attention has to a degree shifted away from renewables to nuclear technology. But the regulatory framework for supporting increased financing of nuclear project is still in flux and current regulatory regimes for renewables have proven incapable of supporting carbon energy transition at the required pace.

Putting the uncertainties associated with the policies of the current US administration to one side, activity in the Infra M&A sector is expected to pick up in 2025. The combination of declining inflation, a lower interest rate environment and recovering valuations all point to an uptick in activity across the board. Despite increasing political headwinds, the energy transition – with its 80% renewable goal by 2030 – will continue. We also expect significant activities in the data centre M&A and financing space with digitization not appearing to abate anytime soon. These trends should support increasing demand and M&A through the electric infrastructure value chain.

Björn Sjöberg
Partner
Sweden

Carl Schwieler
Partner
Sweden

Region under the spotlight: South Africa

The 2024 elections were peaceful. They resulted in the ruling African National Congress losing its majority and being forced into a government of national unity with the Democratic Alliance and various other opposition parties. This has been positively received in the business and investor community.

In last year's report we noted a few general themes for 2024 which were set to shape the debt finance landscape in South Africa for the immediate future. These included:

- electricity shortages and logistics challenges
- persistently high inflation
- the most unpredictable national elections in South Africa's post democratic era
- a lack of infrastructure investment
- low growth compared to other emerging market economies

Moving into 2025, there's been a desire in the country (and publicly at least, from its politicians) to get on with business and seek economic growth after the post-COVID-19 slump. Inflation is also cooling and remains at the lower end of the range set by the Reserve Bank. This has resulted in two interest rate cuts at the end of 2024 and we're likely to see further incremental cuts in 2025. It remains to be seen if Donald Trump's policies lead to increased inflation in the US and how these impact South Africa's inflation metrics. But for now, the expectation is that inflation will be stable or decrease in the coming year.

Electricity supply in South Africa has been consistent for the better part of a year since the lead up to the May 2024 national elections, which has resulted in increased business confidence as we kick off 2025. There's been very little load shedding for more than six months, which has created savings for businesses and households alike, creating opportunities for additional spending. While logistics and infrastructure challenges remain, the government has been supportive of construction projects and a number of major road projects, including in transport nodes around the ports of KZN, have progressed well over the last year.

Economic forecasters, including the large international consulting firms and the IMF, have predicted growth in South Africa of 1.5% in 2025. The Reserve Bank governor forecasts that this figure could be closer to 2%.

Trends

The trend we highlighted in the 2024 debt finance market intelligence report for South African banks to invest funds in high growth developing economies in other African jurisdictions will continue into 2025.

The DLA Piper South Africa team are acting for South African banks on real estate finance transactions in Ghana, Nigeria, Zambia and Botswana across retail, office and residential assets. There also appears to be more appetite for Africa-focused investment funds (often based in Mauritius). South African real estate lenders are also looking at opportunities in Eastern Europe for some established clients.

In the leveraged finance space, we continue to see significant debt refinancings and debt restructurings for listed and unlisted borrowers. But even in a recent large, cross-border debt restructuring of a financial services company, lenders seem to be taking a positive long-term view for business recovery prospects in South Africa (and broader sub-Saharan Africa) in the current economic climate. Where borrowers under existing funding platforms have requested it, we've seen a relaxation of some financial covenants by banks for a forward-looking period of at least two years (including interest cover and debt to EBITDA ratios). Pricing for reliable borrowers remains competitive among the South African banks and favourable for corporates.

We're already seeing more acquisition finance opportunities in 2025 for predominantly South African-based companies, which is a positive local trend compared to the last few years. These acquisition finance mandates span the facilities service, petroleum and logistics/aviation sectors, and we believe are a function of the relatively low value for certain companies after the recent low growth cycle. With the improved financial and political outlook for South Africa, there's scope for more investors to consider making a move on historically undervalued assets.

Renewable energy remains a key investment area for 2025, and the trends identified for 2024 continue in this sector. The renewable energy market in South Africa is maturing and significant projects have been earmarked for completion in 2025. This includes solar projects where energy firms have already entered into self-build arrangements for transmission substations with Eskom. We're also seeing appetite from local and international investors providing debt finance to small and medium sized borrowers in the African solar energy market, particularly where roof-top solar installations are becoming more commonplace.

DLA Piper in South Africa is ideally placed to help clients on these pan-African financing transactions. These deals are invariably documented under English law, and our office has an English law qualified partner, supported by a team of lawyers experienced in English law, on the ground in Johannesburg. We also have the backing of the DLA Piper London and Europe teams, and the entire DLA Piper Africa platform. Engagements with DLA Piper Africa firms across Mauritius, Ghana, Rwanda, Senegal, Botswana, Mozambique, Kenya and Zimbabwe all increased in 2024, and we expect this to grow significantly in 2025.

Lending rates

Cross-border African funding transactions typically have Term SOFR as a reference rate. In South Africa, the transition away from JIBAR (the Johannesburg Interbank Average Rate) towards the risk-free rate to be known as ZARONIA is underway, with the South African Reserve Bank publishing daily ZARONIA rates. The cessation of JIBAR is expected by the end of 2026, but banks are already engaging law firms for documentation options and relative scoping for transitioning their loan books to ZARONIA over the coming months. The local debt finance market has not yet settled on agreed ZARONIA transition wording for LMA-based facility agreements, but this should be settled in the first half of 2025. Global law firms like DLA Piper are well-placed to handle bulk ZARONIA transition mandates given their experience of the LIBOR cessation process and the move to SOFR rates.


Jackie Pennington
Partner
South Africa


Nick Grootes
Partner
South Africa

Region under the spotlight: Australia

In 2024, several trends emerged influencing corporate finance transactions in Australia. They were driven by various factors – including relatively stable market conditions, strategic M&A and corporate restructure activity plus investor pressure for sustainability and ESG. Below we look at some of these factors.

Market conditions

Several key market conditions influenced Australia's corporate lending and finance transactions in 2024. Persistent inflation and high interest rates increased borrowing costs, leading to more cautious or strategic corporate spending and investment. The continued rise of private credit markets gave alternative financing options, with private credit outpacing traditional bank lending. Foreign banks and non-bank lenders became more prominent, offering competitive rates and terms. But 2024 saw a more stable market environment than had been encountered by corporates in recent years when affected by COVID-19 and new major international conflicts. This relative stability presented an opportunity for Australian corporates to implement strategic acquisitions or restructures that were delayed during those recent years of heightened uncertainty.

M&A and corporate finance activity

Corporate finance transactions were still active in Australia, with deal activity remaining resilient in 2024, albeit with businesses focusing on strategic acquisitions to scale operations, access new markets, and optimize supply chains. Cross-border transactions were prominent as firms sought growth opportunities in an evolving global market. Transactions that DLA Piper acted on in 2024 that reflect these broader trends included:

- **Webjet's demerger:** Webjet, an online travel agency, decided to spin off its B2B accommodation division, WebBeds, into a separate listed entity. The transaction closed and the entities restructured their debt facilities in September 2024. The decision to demerge was largely driven by a desire to create more focused, standalone businesses that could better execute growth strategies and unlock value for shareholders. The Webjet transaction represents a broader trend of corporate restructuring in Australia, where companies are opting to separate business units that may have different growth trajectories or strategic priorities with a desire to streamline operations and increase shareholder value.
- **SPC's reverse take-over of listed OJC:** SPC is a long-established, well-known brand, producing tinned produce and powdered milk in Australia. The re-listing was organised with the acquisition and roll-up of targeted smaller businesses, to form a new entity listed on the Australian Securities Exchange.

Sustainability and ESG integration

Environmental, social, and governance (ESG) factors were increasingly common in corporate finance transactions in Australia in 2024. Investors frequently looked for sustainable investments, prompting companies to integrate ESG criteria into their business models and reporting. This shift has led to Australian finance transactions being implemented with green or sustainable criteria – we've noticed a rise in green bonds, sustainable finance frameworks, and a greater focus on climate risk disclosures.

2024 Sector activity

Most sectors remained active in Australian corporate finance transactions in 2024. Deal activity included transactions in energy and resources, fintech and growth lending, real estate lending and health and aged sector financing.

Particularly hot sectors with significant activity were renewable energy projects and data centre developments and investment. Notable transactions DLA Piper advised on in 2024 in these sectors included advising Macquarie Technology Group Limited on its AUD450 million secured debt refinancing to fund the continued expansion of Macquarie Technology Group's data centre business, including the construction of its IC3 Super West Phase 1 data centre. DLA Piper also advised on HMC Capital's launch of DigiCo Infrastructure REIT, a digital infrastructure trust focused on data centres in Australia and the US and which included three US-based data centres valued at AUD960 million.

Looking forward to 2025

The outlook for finance transactions in Australia in 2025 is mixed. Generally, there's an expectation inflationary pressures will ease and interest rates will decline in 2025, providing some relief to borrowers and that will potentially stimulate corporate lending and investment. But subpar domestic economic growth and ongoing geopolitical uncertainties may temper this optimism.

President Trump's recent re-election for his second term in office has had a mixed response. At the time of writing, early concerns have proved true that a Trump administration will re-introduce trade tariffs and protectionist policies that may disrupt global market, with Australia's export sectors in agriculture and resources at particular risk. But Trump's stance on deregulation could encourage investment in some markets, potentially benefiting global banking and tech sectors.

The rise of private credit markets and the increasing role of non-bank lenders will continue to diversify funding sources for businesses in Australia.

Overall, the outlook for finance transactions in Australia is cautiously optimistic, with opportunities for growth.

Hugo Thistlewood
Partner
Australia

"The technology sector saw significant deal activity in 2024. In the smaller cap tech space there were also an increasingå number of annual recurring revenue financings – a product area that is still relatively new to Australia, but one which our international finance team has a deep knowledge and understanding of."

Alex Regan
Partner
Australia

Part eight

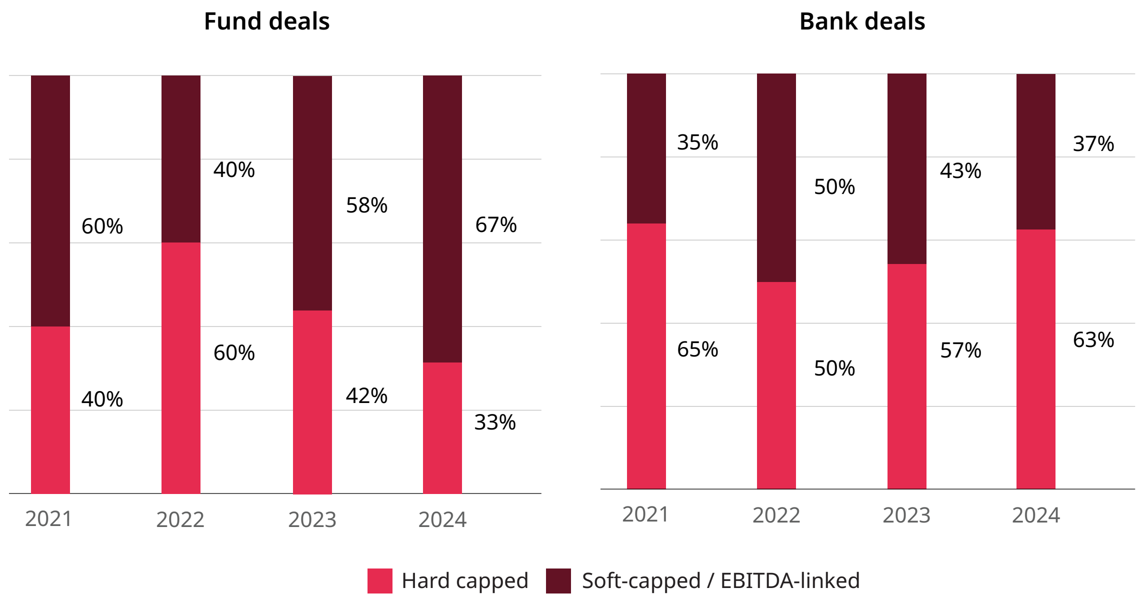
Convergence in credit? Banks and private credit compared

Over the years, the convergence of market terms between banks and private credit funds in the mid-market has become increasingly evident. This trend has been driven by market conditions and competition for deals. Bank lenders and private credit funds have traditionally operated with distinct approaches to lending, but the lines have blurred as all lenders have needed to adapt to changing dynamics.

Market conditions play a crucial role in this convergence. In this section, we take a look at some key market terms and how we've seen banks and funds position themselves in recent years. While no two deals are the same, our deal data enables us (and our clients) to understand "what's market" in a changing landscape.

Basket caps

The use of soft-capped, grower baskets throughout the permitted definitions in a facilities agreement, so that each basket's upper limit is linked to the business's current adjusted EBITDA (the greater of GBP/EUR X million and Y% adjusted EBITDA) is well entrenched in the mid-market. Filtering our data by lender type shows this is common for the vast majority of fund deals, while it's still very much deal specific on bank deals. As you would expect, we see greater convergence between lenders when we look at deals with a similar debt size.

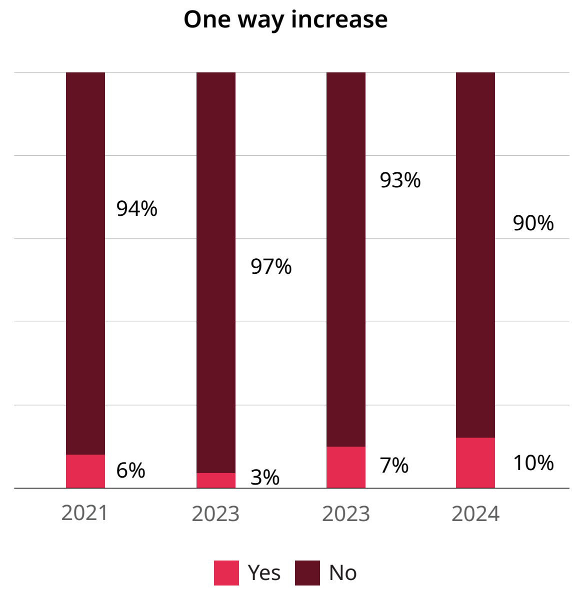


One way increase

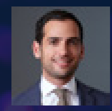
Permanent increase or "one-way grower basket" language takes this concept a step further. It specifies that, where the value of the % adjusted EBITDA limb exceeds the GBP/EUR X million amount of the basket, the GBP/EUR X million amount is permanently increased to that % value. The lower limit or "floor" of the basket will therefore increase in line with the % value and will subsequently never decrease – it will always remain set at, or permanently scaled up to, the highest % adjusted EBITDA level the business has historically achieved, even if the business's performance subsequently deteriorates for any reason.

Accepting one-way grower baskets poses a clear risk. Baskets generally allow borrowers to incur liabilities, grant guarantees, or engage in transactions outside the lender's security net, based on the business's size and profitability. One-way grower baskets mean capped amounts can stay permanently at an increased level, even if performance falls. This is a feature resulting from the convergence of markets – where large cap features are implemented in mid-market deals. For lenders, the main concern is EBITDA-linked baskets for permitted financial indebtedness outside of the prescribed incremental regime, permitted payments or other leakage items. This construct would give a borrower access to increased debt or payment capacity for future use, enabling higher leverage or cash and/or asset extraction, even at times when this poses a credit risk to the lender.

Our mid-market deal data shows that lenders (both funds and banks) are continuing to resist this level of flexibility.



"While the use of soft-capped, grower baskets linked to adjusted EBITDA is well entrenched in the mid-market, particularly in fund deals, the introduction of one-way grower baskets poses significant risks for lenders. This feature, which permanently increases basket limits, has led to resistance from both funds and banks, highlighting the ongoing tension between borrower flexibility and lender safeguards."

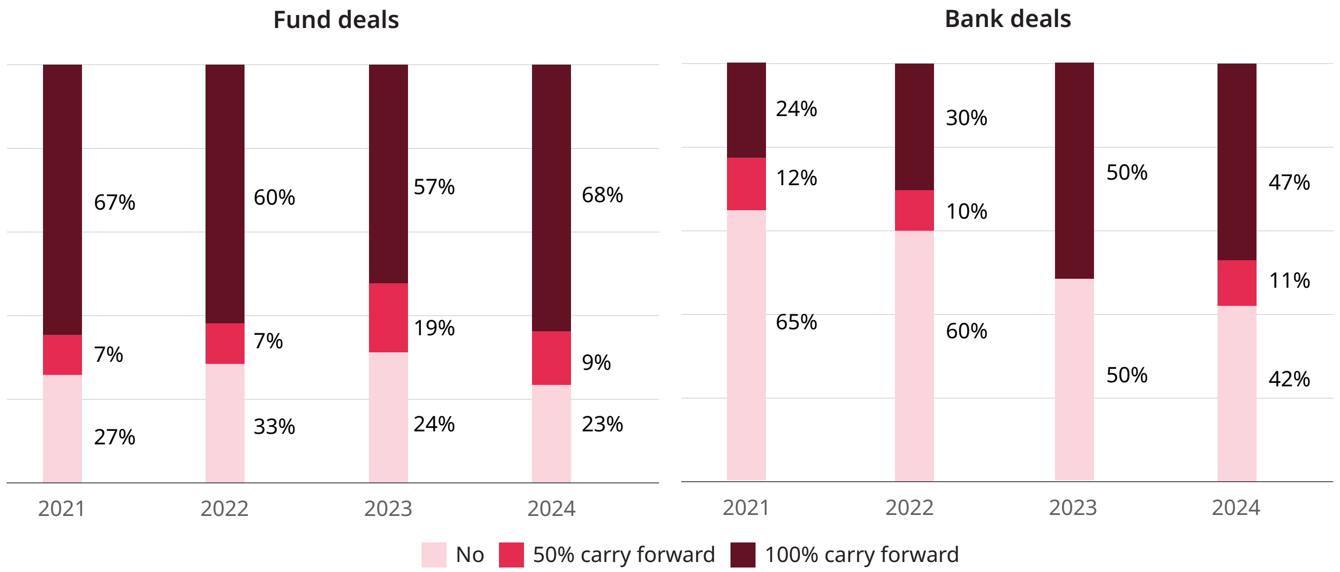


Adam Abou Habaga
Partner
Netherlands

Carry forward / carry back unused amounts

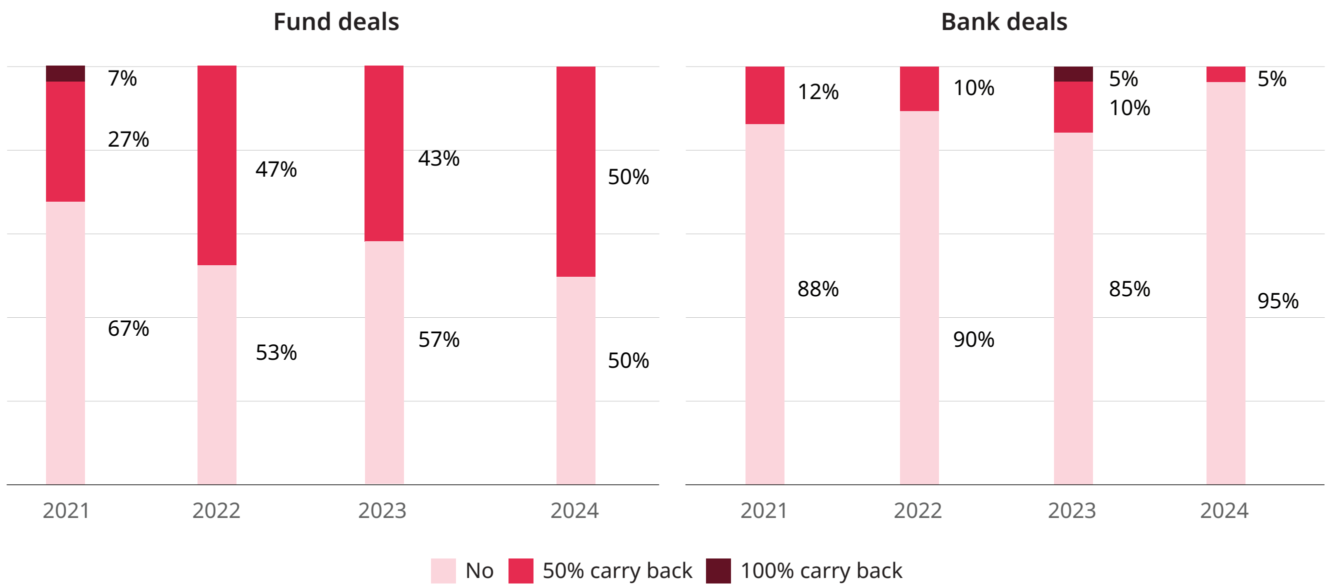
The mechanism of carrying forward and back unused basket amounts has gained increased attention and implementation success in recent years.

CARRY FORWARD: The carry forward of unused basket amounts allows a borrower to utilise unspent capacity from one financial period in subsequent periods. This flexibility is particularly advantageous in volatile markets, where financial performance can fluctuate. Our analysis indicates that carry forward provisions have been consistently prevalent in fund deals in recent years and are growing in prevalence across bank deals. There's also a notable trend towards permitting 100% carry forward of unused amounts.



CARRY BACK: Conversely, carry back provisions enable borrowers to use future capacity to cover current shortfalls. While less common than carry forward provisions, carry back mechanisms are gaining traction. Our data indicates that the mid-market is showing signs of acceptance by the growing percentage of deals (in particular fund deals) permitting the carry back of 50% of unused amounts. Banks are, however, continuing to exercise caution.

The increasing adoption of these provisions underscores a broader shift towards more borrower-friendly terms in the mid-market. Lenders are balancing the need to protect their interests with the operational realities faced by borrowers. This balance is crucial in maintaining the viability of leveraged finance markets, particularly in the face of economic uncertainty.



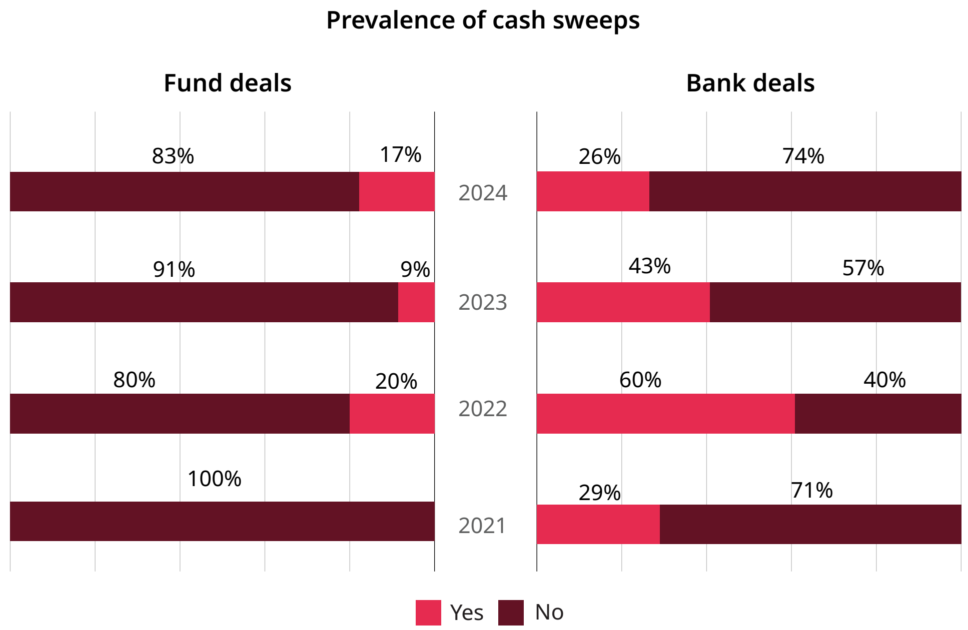
Excess cash sweep

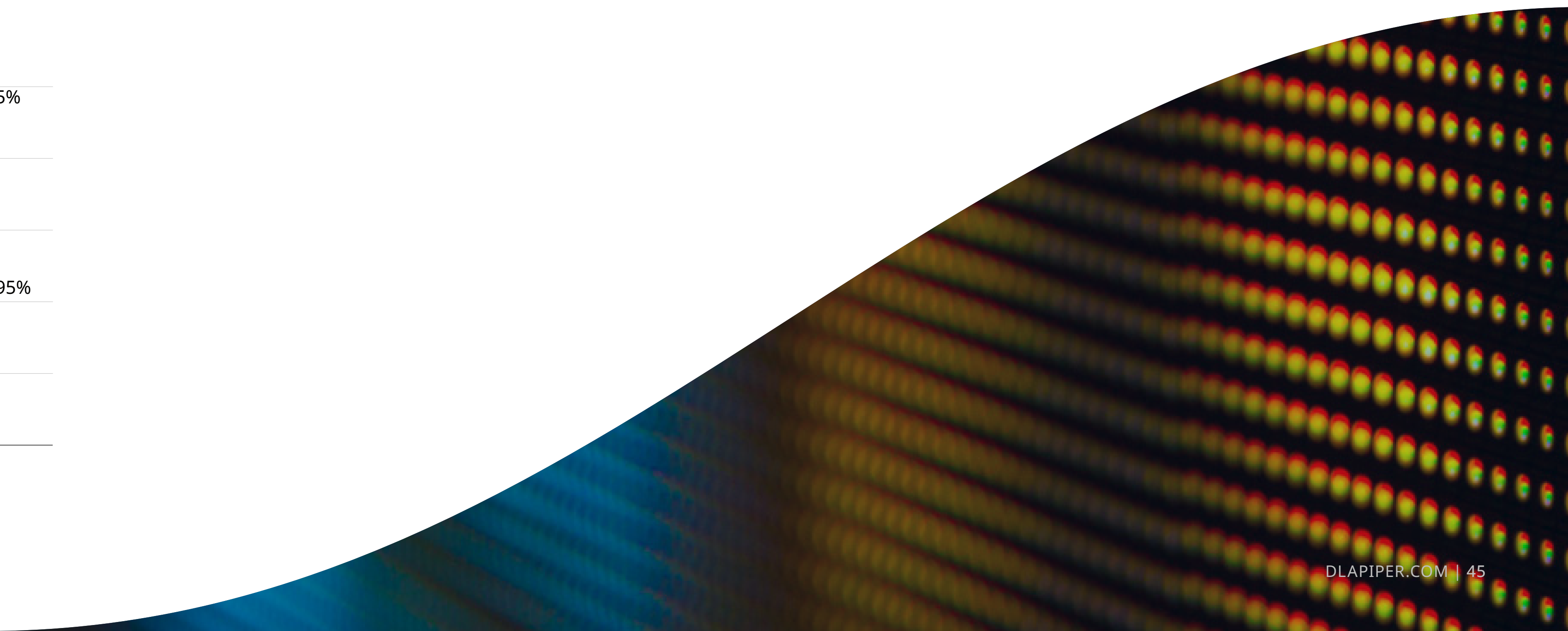
While our overall data indicates that lenders have been moving away from requiring excess cash to be used to pay down debt, we do see jurisdictional variations. In markets where there's strong competition between funds and banks, there's a clear tendency for such prepayments to be considered "old school". In contrast, cash sweeps continue to feature in many regions where deal flow continues to be dominated by banks.

Despite jurisdictional variances, our data points towards a downward trend even for traditional bank-led deals – showing a continued convergence of terms being offered by all lenders in order to remain competitive for good assets.

> *It's been quite the norm during 2024 (and we expect this to continue in the case of Spanish mid-market bank-led transactions) to agree a step-down level at 50% of excess cash-flow to be applied in prepayment upon the leverage ratio being >3."*

Cesar Herrero Mazario
Partner
Spain





Equity cure rights

EBITDA cures

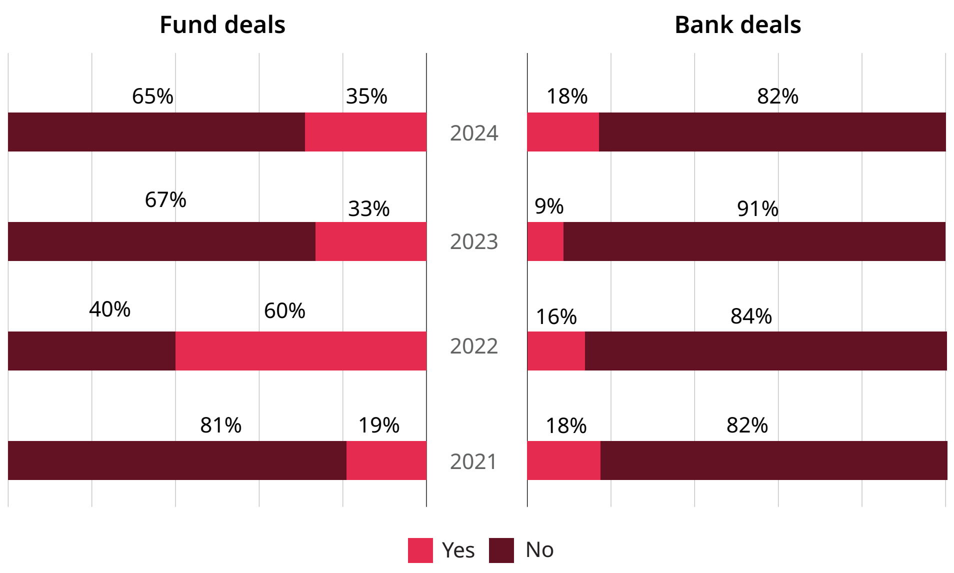
EBITDA cure provisions have been seen as a crucial tool in leveraged finance, allowing sponsors to inject additional capital to remedy breaches of financial covenants by increasing the borrower's EBITDA. They offer sponsors a more flexible solution in maintaining compliance without significant capital outlay (when compared to an equity cure which is applied in reducing debt).

However, lenders will either push-back or impose controls such as a restriction on overcure and a cap on the number of EBITDA cures.

Credit funds have been instrumental in promoting EBITDA cure flexibility to attract borrowers and accommodate temporary financial difficulties, particularly as they were competing for mandates against other products which may not have had any covenants. Our deal data shows that credit funds are more likely to incorporate these provisions while only upper-mid cap bank deals will contain this feature.

33% Of the 2024 UK and European deals that permit an EBITDA cure, 33% require EBITDA cure amounts (either in whole or part) to be prepaid.

Prevalence of EBITDA cures



"With the exception of a spike in 2022, there has been a reasonably slow and steady increase in the availability of EBITDA cures in private credit deals over the past few years; with availability of EBITDA cures in bank deals being relatively flat over the period (albeit 2024 representing a high point). In either case, we would expect EBITDA cures to be subject to relatively customary parameters (ie. no overcure and usually one time only)."

Neil Campbell
Partner
UK

Pre-cure rights

A trend that we've seen in 2024 has been the increase in number of deals that allow for pre-cures, being the ability to apply an amount of equity that was injected prior to a financial covenant breach for the purposes of making an equity cure.

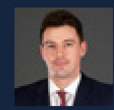
Some will argue that this is an easy give for lenders where the equity is injected between the covenant test date and the date on which the compliance certificate is delivered showing that a breach has occurred.

However, lenders are exercising caution when it comes to the parent re-designating equity injected prior to the test date. There's a particular concern in relation to EBITDA cures due to the fungibility of cash, which can make it challenging to ascertain whether amounts have already been applied for other purposes. In instances where we've seen EBITDA pre-cures accepted, there's often a requirement for the parent to notify the lender at the time of the investment that the investment is to be designated as a cure amount for the next test date. This then establishes a definitive link between the equity investment and the potential upcoming default.

10% of our 2024 UK and European deals included a pre-cure right.

Spotlight on super senior/ unitranche dynamics

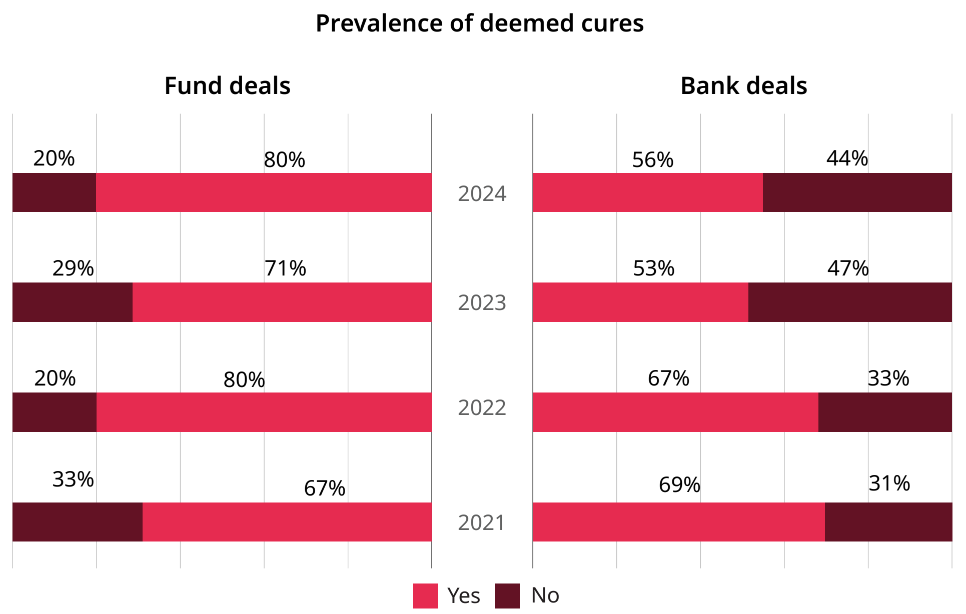
"Given banks are more reluctant to accept EBITDA cures (or possibly limit how much of the cure can be deemed EBITDA) borrowers and lenders need to be mindful of differing cure regimes in super senior/unitranche or FOLO deals."



Charles Weems
Partner
UK

Other equity cure features

TOTAL NUMBER OF CURES	We generally see **four cures** across the UK and European mid-market, with five cures on very few deals. Our analysis shows us that five cures have been given on larger deals led by credit funds, again reflecting on the need to compete against other covenant-less products.
DEEMED CURES	A financial covenant breach is deemed to be cured if, at the next financial covenant test date, the borrower is in compliance and the lenders haven't taken any enforcement action in the meantime. Our data indicates that prevalence is **well established across UK and European deals,** with funds leading the level of acceptance of this feature.
REQUIREMENT TO PREPAY CURE AMOUNTS	In our previous report we noted that there had been an increase in the number of 2023 UK and European deals requiring cure amounts to be applied in mandatory prepayment of a loan. When we look closer at deal data from 2024, we've seen a **further increase from 11% to 20% of deals**. We can also see the data leans towards deals closed by traditional bank lenders who are taking a more cautious approach in the current market.



"Private credit funds have accepted deemed equity cures, whereas German bank lenders continue to have reservations. From a strictly legal perspective, there's good reason to argue that German law would limit the right of a lender to accelerate a financing based on principles of good faith if the borrower complies again at the next financial covenant test date and the lender has not taken any enforcement action in the meantime."

Wolfram Distler
Partner
Germany

EBITDA adjustments

Applicable transactions

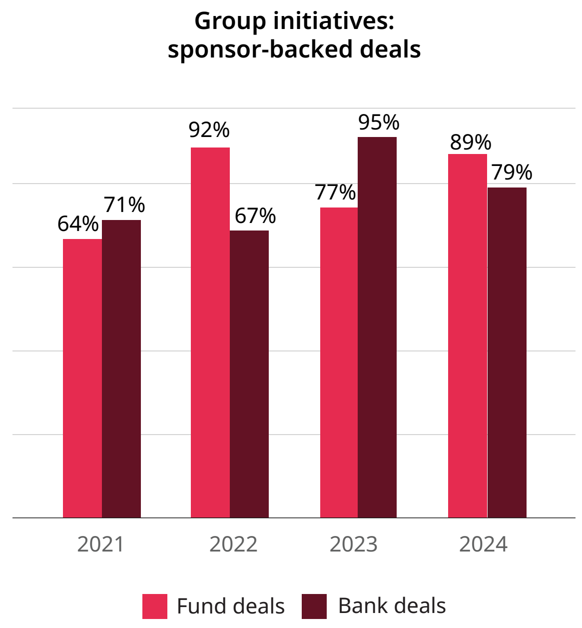
As has been the case for several years, LMA-style EBITDA adjustments attributable to acquisitions and disposals remain a staple feature, including related forward looking pro forma EBITDA adjustments. We've also seen an increase in the number of deals that allow for forward looking pro forma adjustments in relation to permitted joint ventures and other permitted transactions – linked to related cost savings/synergies arising from such transactions. Sponsors have continued to push for flexibility in this area, and since the cost savings/synergies for fixed transactions are generally identifiable and quantifiable, they've achieved positive results in their negotiations.

Across the UK and Europe, we've generally seen a growing proportion of deals provide for forward looking pro forma EBITDA adjustments related cost savings/synergies resulting from group initiatives (being restructurings, reorganisations and other operational improvements). Based on deal data, we see a clear trend that group initiatives are also becoming a recurring feature, especially in the upper-mid market in the adjustment toolbox for private credit fund deals and bank deals.

Cost synergies vs revenue synergies

Across our UK and European mid-market deals, we've seen both credit funds and traditional banks in the mid-market continue to reason that EBITDA should only be adjusted for amounts that constitute cost savings and cost synergies, and not for projected revenue synergies.

In the few cases where we've seen revenue synergies accepted, these have been on deals with a debt size above EUR200 million. Given the relatively subjective nature of revenue synergies, we expect this trend to continue.



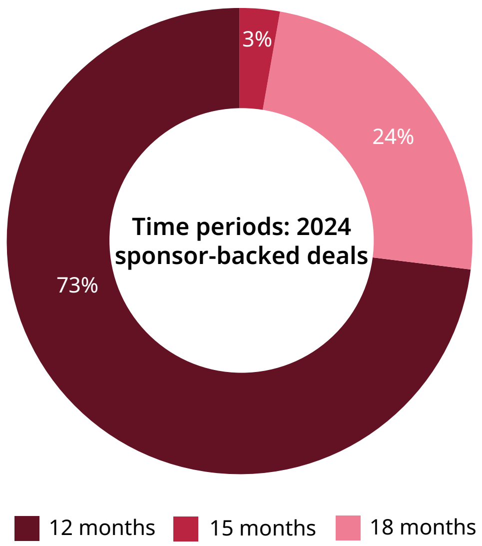
"The size of caps for forward looking pro forma EBITDA adjustments is one of the few areas where the Australian market offers more flexibility to borrowers than the European market, with caps often set at 20% to 30% of EBITDA."

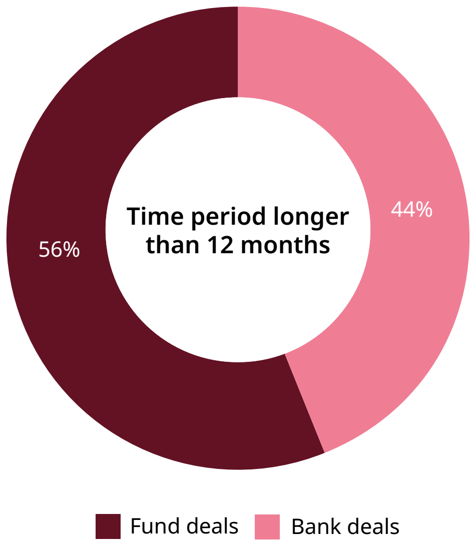
Alex Regan
Partner
Australia

Time periods

Across all regions, we've seen mid-market lenders use time periods to control the scope of synergies. And in the vast majority of cases (73% of our 2024 UK and European sponsored deals), the time period is set at 12 months (ie the period of time in which the cost saving/synergy must be projected to be realised).

Of the deals where we've seen sponsors gain greater flexibility in recent years, pushing the time period out to 15 and 18 months, interestingly, we see funds and banks in a very similar space. Of the deals with a longer time period than 12 months, 56% of these deals were led by funds and 44% were led by traditional bank lenders.

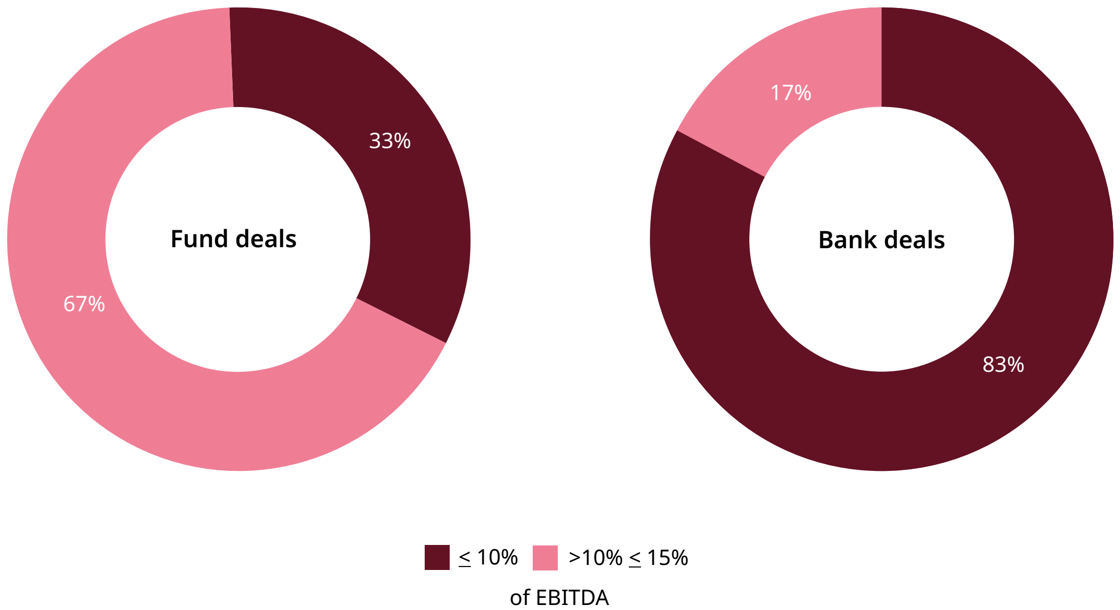




Verification thresholds

Adjustments have historically required certification by the CFO and, where above a certain amount, by a third-party diligence provider or industry specialist.

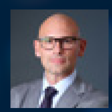
While sponsors continue to argue that independent verifications are overly burdensome, our data shows us that across all of our 2024 UK and European deals, both fund and traditional bank lenders have held onto this requirement. That said, the threshold at which this requirement kicks in varies greatly – with funds stretching up to 15% of EBITDA.



"The ability to make adjustments to EBITDA is well established. Along with caps, third party verification is another guard rail which lenders like to use to prevent unrealistic adjustments eroding their financial covenants."

Richard Normington
Partner
UK

"Some funds, and certainly banks, continue to look to cap all forward-looking adjustments and normalisations for (historic) exceptional items with a view to setting clear parameters to limit the delta between reported EBITDA and adjusted (pro forma) EBITDA for leverage covenant testing as well as incurrence or leakage purposes."



Max Mayer
Partner
Netherlands

JARGON BUSTER

EBITDA – earnings before interest, taxes, depreciation and amortisation.

Cost synergies – the removal of duplicative costs and expenses following certain transactions.

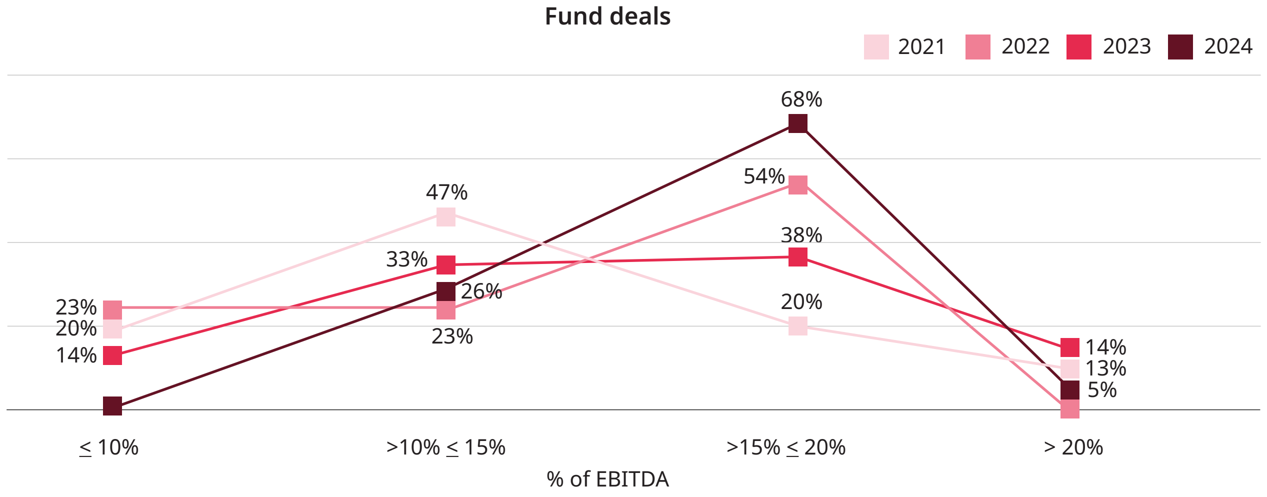
Revenue synergies – the increase in revenue following certain transactions.

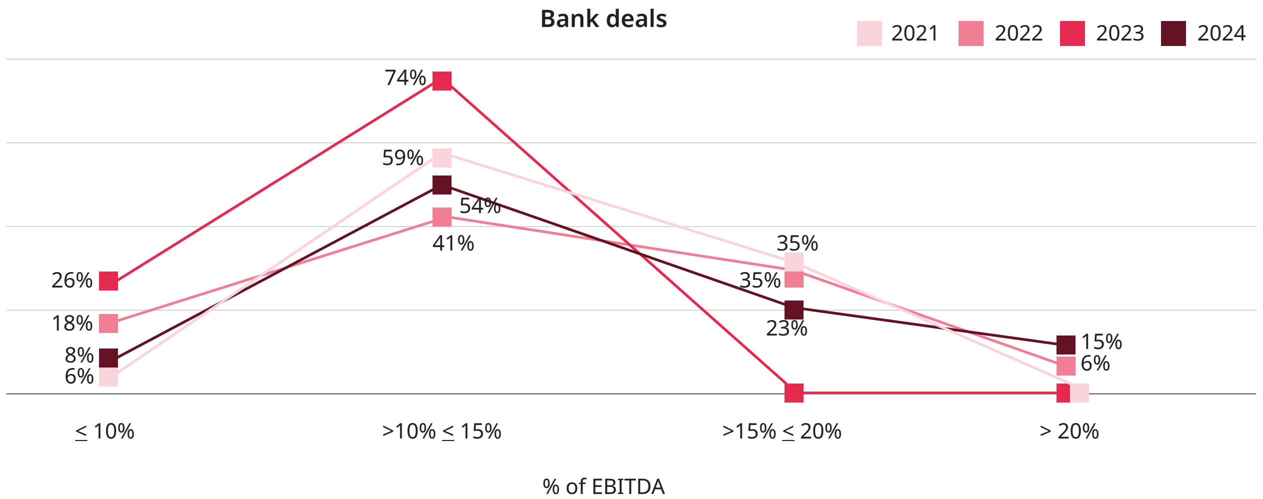
Exceptional items – extraordinary, non-recurring and unusual costs, expenses and losses that are excluded from EBITDA (as not reflective of underlying profitability).

Total cap on forward looking EBITDA adjustments

It's clear to see from the data that traditional bank lenders tend to exercise greater caution when it comes to the total caps on forward looking pro forma EBITDA adjustments.

Our mid-market data from across the UK and Europe shows that banks have been fairly consistent in recent years, offering up to 15% of EBITDA, showing some signs of flex in 2022. However, we see funds offering a greater level of flexibility in the region of up to 20% of EBITDA.





"Last year, our data showed that caps on exceptional item adjustments made their way from mainland Europe to the UK market. In 2024, the landscape of exceptional items has further evolved, with a marked shift towards greater scrutiny and transparency. Sponsors continue to push for flexibility, while lenders demand clarity, leading to a balanced yet stringent approach in deal structuring."

Adam Abou Habaga
Partner
Netherlands

Exceptional items

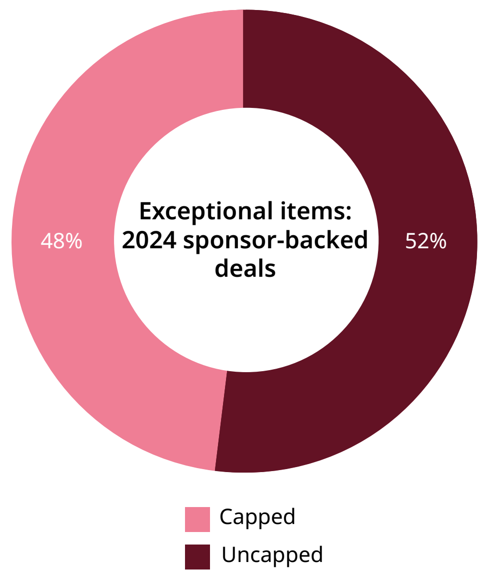
A trend we've seen in 2024 has been the shift towards greater scrutiny and transparency in relation to exceptional items – being extraordinary, non-recurring and unusual costs, expenses and losses that may be added back to EBITDA. While sponsors are looking for maximum flexibility and creativity, lenders seek clarity and a clear focus on the exceptional nature of such cost items.

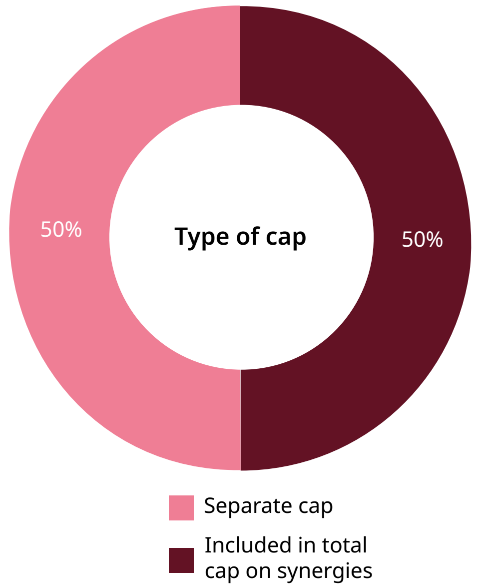
We've seen a rise in the number of deals including a cap on exceptional items. Our data shows that of those deals that are capped, it's a 50:50 split as to whether they're capped by way of an exceptional items only cap or included in the total cap on add-backs and pro forma adjustment.

However, as a general rule of thumb, transaction costs (for transactions permitted under the financing arrangements, including acquisitions, disposals or permitted financial indebtedness) are generally uncapped. This approach clearly invites a risk of overlap with exceptional items.

"We're now starting to see exceptional items being capped in Spanish mid-market deals. They're often included in the total cap of synergies and subject to strict scrutiny."

Cesar Herrero Mazario
Partner
Spain





So what sort of deals include this greater scrutiny?

- **Lenders:** traditional bank lenders and funds are using controls in equal measures, with 50% being bank-led deals and 50% fund deals.
- **What are banks doing?** While we have seen some jurisdictional difference, bank lenders have typically exercised greater control over the deals with a debt size of below EUR50 million. The majority of deals have been controlled by way of an exceptional items only cap; typically controlled by way of a soft-cap at 10% to 20% of EBITDA.
- **What are funds doing?** Funds have imposed controls over deals of all sizes – there is no one-size-fits-all and controls often depend on the fund lender as well as the sponsor. The majority of deals that do feature controlled exceptional items do so by including them in the total cap on synergies and the typical soft-cap is 20% of EBITDA.

Part nine

Trading out: Transferability provisions in focus

Transferability remains a key consideration for lenders and borrowers alike in the mid-market. As economic challenges continue to linger over the current market, the ability to transfer loans offers a strategic avenue for lenders to manage risk. Nevertheless, borrowers and sponsors are continuing to find ways to control lender transfers, favouring transfers to less aggressive lenders or a reputable lending house. Sponsors have adeptly maintained their influence over this aspect of loan agreements. In this section, we delve into the nuances of transferability, exploring the delicate balance of power between sponsors and lenders in the mid-market private equity backed deal space.

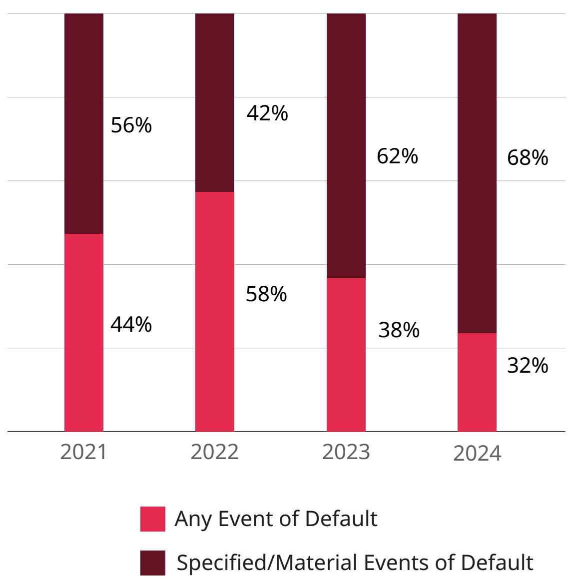
Event of Default trigger

Across the UK and European mid-market, transfer restrictions (in the form of borrower consent) generally fall away on a material/credit-related Event of Default, enabling a lender to implement a transfer without needing to obtain borrower consent.

When we look at our mid-market data more closely, we can see that private credit fund deals have been driving this trend, with 91% of 2024 credit fund deals providing for free transferability at a time when a material Event of Default is continuing (rather than any Event of Default, which is more common on bank transactions).

In recent years we've seen a shift in what constitutes a material Event of Default within transfer provisions. While all deals include non-payment and insolvency-related events, we've seen sponsors successfully driving down the number of deals that include a financial covenant breach and a failure to provide financial information in the form of quarterly accounts or a compliance certificate. This demonstrates that in today's market sponsors are continuing to make ground and limit the number of events that disapply their right to consent to a lender transfer.

Transferability: Event of Default trigger



91% of 2024 credit fund deals provide for free transferability on only material Events of Default.

In addition to the four key Events of Defaults shown in the graph here, sanctions provisions have also started to feature in the list of material events that can switch off a borrower's right to consent to a transfer. This highlights the focus that all lenders have on the ever-changing regulatory landscape.

In some regions, we've also observed an increase in the number of deals featuring ongoing acceleration as a transfer event – this provides lenders with transfer control beyond the limited material Events of Default that have now become market standard.

Consent features

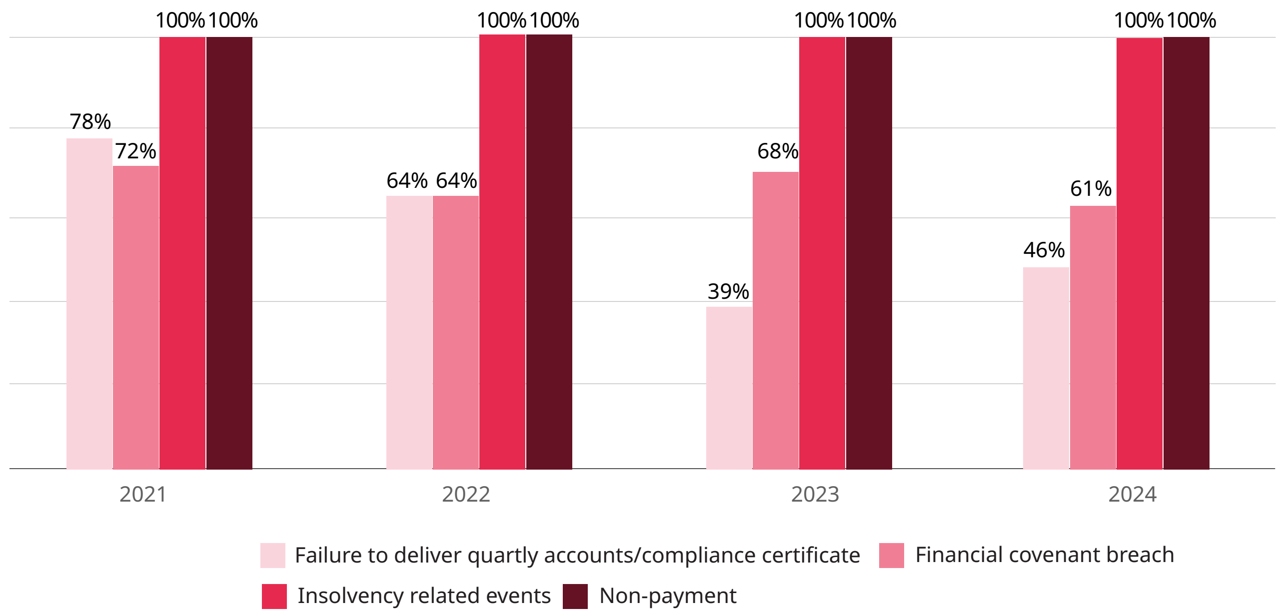
Transfer provisions often impose a requirement on the borrower to act reasonably, meaning that consent shouldn't be unreasonably withheld or delayed. In addition, it's common for these provisions to go a step further and include a concept of deemed consent if there's a delay beyond a specified period. In the majority of cases (88% of our UK and European sponsor-backed deals), deemed consent is set at ten business days.

One point to note is that the deemed consent/reasonableness requirement is generally not applicable to transfers to certain entity types, such as industry/sponsor competitors and loan-to-own investors.

"There's a delicate balance to be struck on deals between the borrower's desire to control who owns its debt and the lenders' ability to manage their exposure if necessary. This balance becomes more nuanced in relationship-led take-and-hold financings and also where a borrower is able to choose from a broader range of financing options. Transferring to competitors is generally a no-go and, in some sectors, is also backed by regulatory restrictions."

Charlotte Lewis-Williams
Partner
UK

What constitutes a material Event of default?



Restriction on transfers to industry/sponsor competitors: sponsor-backed deals

2021	2022	2023	2024
75%	61%	69%	81%

Restriction on transfers to loan-to-own investors: sponsor-backed deals

2021	2022	2023	2024
32%	24%	31%	43%

Note the statistics above show the percentage of deals that include either (i) an absolute block on transfers to such entity (ie the lender cannot freely transfer the loan, regardless of whether an Event of Default is continuing or not) or (i) a list of Events of Default that's narrower than required for general transfers.

Block on transfers

In recent years, mid-market sponsors are increasingly negotiating specific clauses that restrict the transfer of debt to certain types of entities. These trends reflect a broader movement towards more tailored and restrictive transfer provisions in debt finance, as borrowers/ sponsors seek to maintain control over who holds their debt and, by extension, who has access to their financial and operational information. It's a dynamic area that continues to evolve with the market. Here's a closer look at the trends:

INDUSTRY/SPONSOR COMPETITORS: There's a growing emphasis on blocking transfers to direct industry competitors. This is particularly prevalent in sectors where proprietary information and competitive advantage are closely guarded. Companies are keen to prevent competitors from gaining access to sensitive financial information through the purchase of debt.

Similarly, there's an increasing trend to restrict transfers to sponsor competitors. Private equity sponsors are wary of their competitors gaining influence or control over their portfolio companies through debt positions. As a result, finance documents often include provisions that block such transfers.

Our data shows that over the years an increasing percentage of deals have included either (i) an absolute block on transfers to such competitors (ie the lender cannot freely transfer the loan, regardless of whether an Event of Default is continuing or not) or (ii) a list of Events of Default that's narrower than required for general transfers.

LOAN-TO-OWN INVESTORS: The rise of distressed debt investing has led to a focus on loan-to-own strategies, where investors purchase debt with the intention of gaining control of a company. To counter this, some borrowers are negotiating provisions that restrict transfers to known loan-to-own investors, aiming to prevent hostile takeovers.

While our data shows us that lenders continue to be mindful that distressed investors may be the only parties interested in buying a loan while an Event of Default/ material Event of Default is continuing, a growing number of sponsors are maintaining a consent right over transfers to loan-to-own/distressed investors. In the vast majority of deals, a borrower's consent right tends to be disapplied at a time when a specified material Event of Default is continuing or acceleration has commenced.

Prior notice of transfer

Sponsors want to be on the front foot and have the opportunity to assess their options. We've seen a growing number of deals requiring a lender to give notice to the borrower/sponsor in advance of a proposed transfer (irrespective of whether the borrower's consent is required or not). This tends to be five business days' notice but there's generally a carve out for transfers to a lender's affiliate or related fund.

Pre-agreed approved lender list

Mid-market sponsors have been seeking greater flexibility to add and remove lenders from the pre-approved list. This allows them to maintain some control over the lending group and ensure it aligns with their strategic interests.

In particular, the ability to remove certain types of investors, such as loan-to-own investors or those known for aggressive trading strategies, has been key to sponsors looking to avoid potential disruptions or hostile actions that could arise from such entities acquiring the debt.

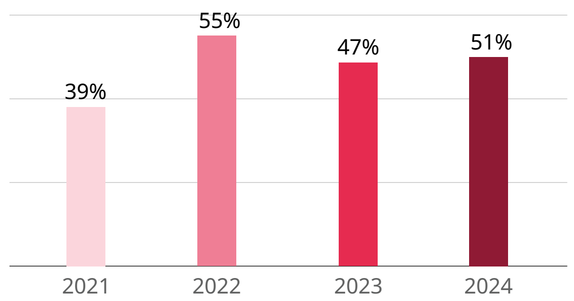
Our data indicates that the inclusion of this flexibility has remained relatively steady, but we continue to see variation in the finer details, such as:

- how often names can be removed/added to the list
- the number of names that can be removed/ added to the list
- whether the removal of a name triggers the requirement for a new name to be added to the list as a replacement
- whether different conditions apply to deposit taking institutions on the list

"It's no surprise that transferability continues to be a key negotiation issue for lenders, sponsors and borrowers alike. In an ever-changing market, choppy waters can seem never too far away, and the competing interests of counterparty certainty and free portfolio management are a delicate balance."

Stephen Bottley
Partner
UK

Parent can amend approved lender list unilaterally



Minimum hold or transfer thresholds

Another way in which a borrower/sponsor can control its lender group is by including either a minimum hold or a minimum transfer threshold, preventing the fragmentation of the lender base.

While each of these market terms have grown in prevalence, our data shows that private credit funds have been driving a greater acceptance of these sponsor-driven flexibilities.

Interestingly, each term saw a dip in prevalence in 2023. One explanation for this could be the increase in bank-led transactions that we saw in 2023 – perhaps as a result of some borrowers being priced out of using a private credit fund solution.

> *Disenfranchisement of unitranche lender if they buy into another class. Provision included in 24% of all unitranche deals and 11% of FOLO deals.*

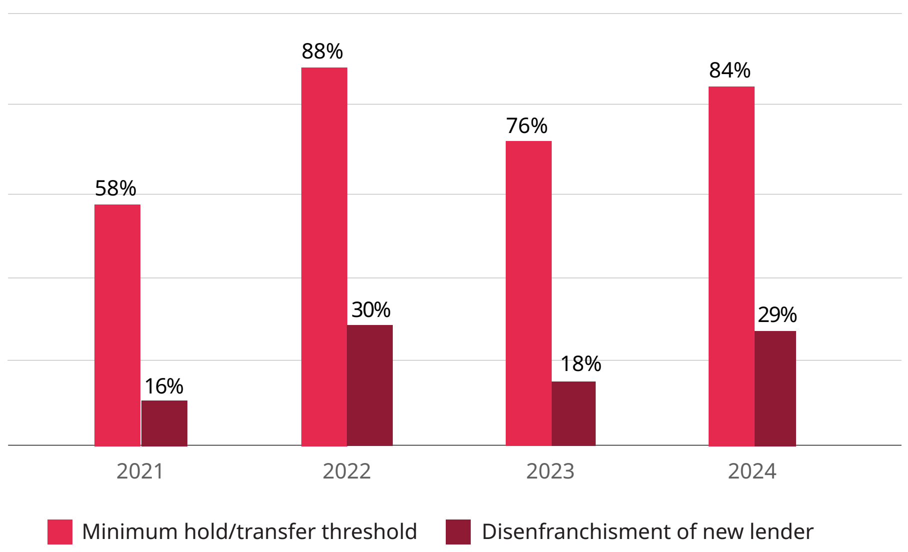
Disenfranchisement of the new lender

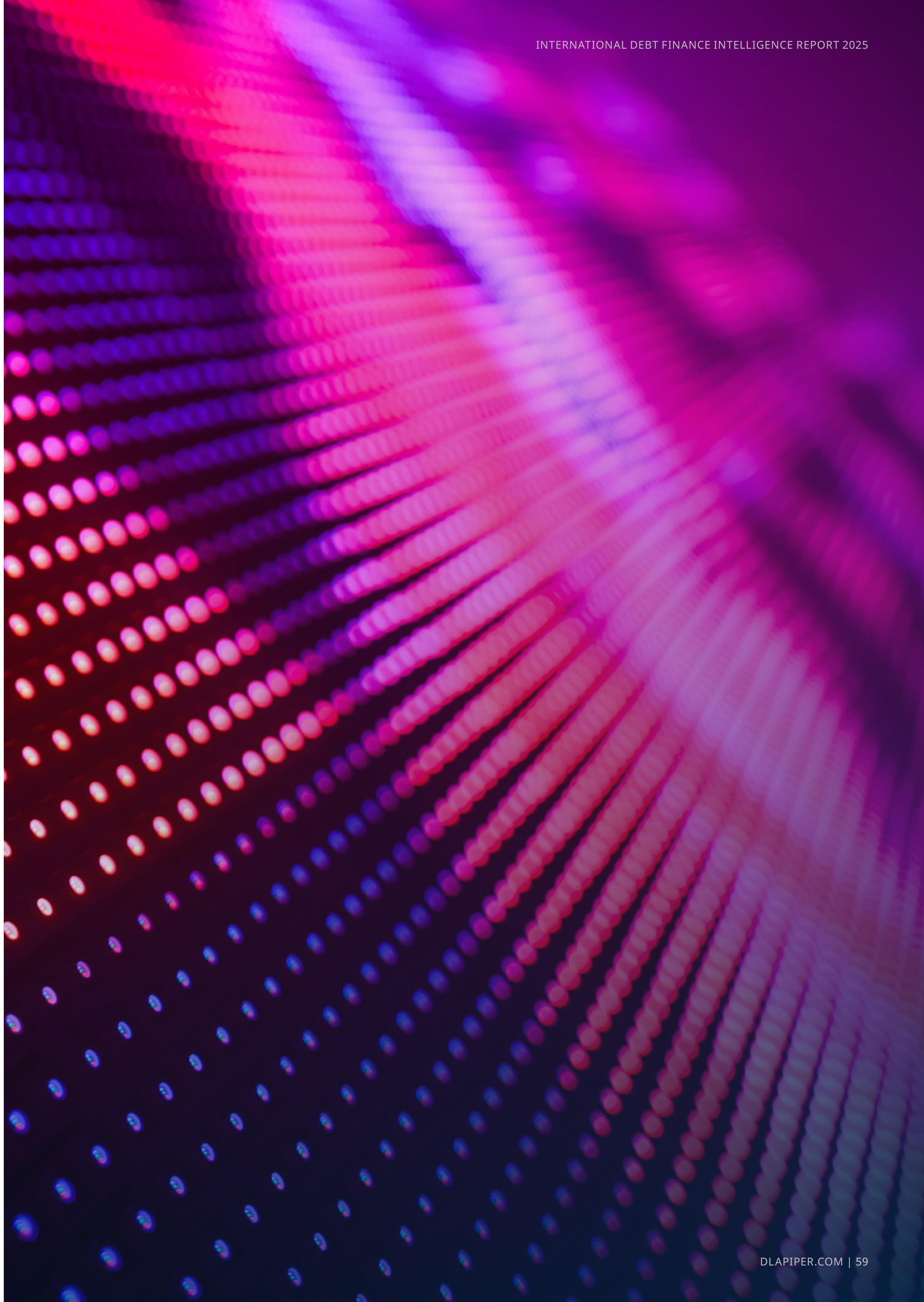
A noticeable development has been the inclusion of disenfranchisement wording – meaning that if a lender has transferred or assigned its commitments in breach of the transfer provisions, the new lender will be unable to participate in the loan until the borrower has given its consent.

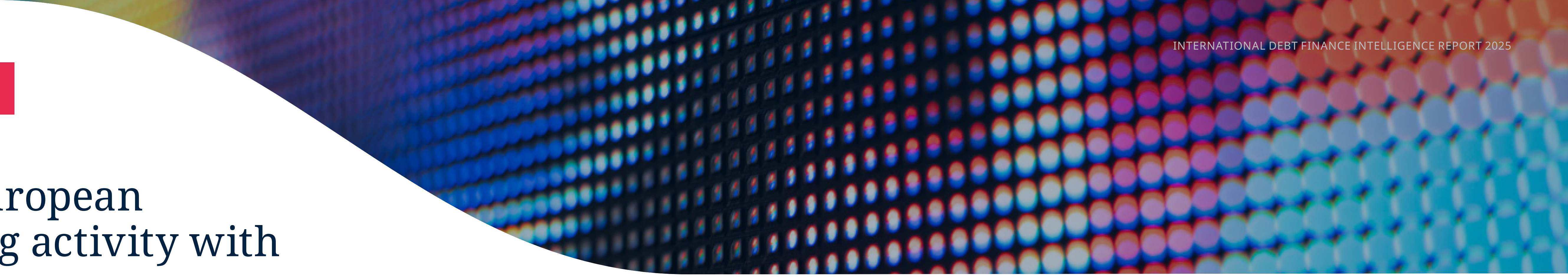
The effect of the disenfranchisement means for the new lender that:

- it isn't entitled to receive any reports/documents to be delivered under the credit agreement or attend any meetings/calls
- its commitments are deemed to be zero when calculating which lenders constitute a majority, super majority etc
- it isn't deemed to be a lender for the purpose of any consent matters.

Prevalence of transfer conditions







Part ten

Let's talk: European restructuring activity with David Ampaw

Restructuring tools and strategies – what's prevalent?

The continued rise of the restructuring plans

The UK's Part 26A restructuring plan (RP) was again a key technique used in 2024, with a number of foreign and domestic debtors choosing the UK courts to restructure.

Adler[1] was a keenly anticipated judgment at the start of the year, with Snowden LJ's leading judgment in the Court of Appeal marking the first time the sanctioning of an RP had successfully been appealed by a dissenting class of creditors. Since then, the use of RPs hasn't slowed down and a slew of RPs (15) were sanctioned in 2024. Some of them employed the powerful "cross class cram down" or "CCCD" mechanism. The CCCD can cram dissenting creditors into the restructuring without their agreement, notwithstanding they are in a different class to those who support the plan. The use of the CCCD mechanism has been keenly felt by landlord creditors in particular (eg Cineworld[2], Dobbies[3]).

DLA Piper has acted on a number of high-profile RPs this year including Aggregate[4], the largest mixed-use development project in Europe. It's based in Berlin with more than EUR1 billion of German law governed debt instruments restructured pursuant to the RP. DLA Piper also acted on RPs for Fitness First, the UK gym chain; and the UK pub and bar chain Revolution Bars.

Parallel processes – the rise of European restructuring tools

As anticipated, the proliferation of European restructuring techniques prompted by country implementation of the EU Directive on preventative restructuring frameworks (EUR 2019/1023, Directive), has seen situations where parallel processes became expedient. For example, we've seen the use of English and European processes in parallel where there was English law governed debt, which could only be compromised under English law given the rule in the Gibbs case, with European borrowers, as happened with the Italian construction group Cimolai, where an English RP was used alongside an Italian "concordato"[5] process. Similarly, debtors have been able to "retain" restructurings arguably within their more natural forum. For example, Spanish steel producer Celsa[6] was the first use of the Spanish Restructuring Plan, in a restructuring which otherwise (subject to recognition issues) may have been exported to the UK. Debtors have also changed the law applicable to their debts to utilise freshly available tools. We've seen, BioCity, a Dutch Holdco to a real estate development which had English law debts, changed the governing law of its debt to Dutch law ahead of its Dutch WHOA, a Dutch court-approved restructuring process brought in in 2021.

> *Three key themes I'm particularly interested in terms of the growth of the RP are: case management protocols to reduce pressure in contested sanction hearings, rescue financing products to support the RP, and process barriers and opportunities to further expand the use of RPs into the mid-market.*

Handing over the keys

In contrast to the very public nature of RPs, we've also seen an increase in discreet out-of-court "restructurings" where private equity sponsors are handing over control of the business to lenders in consensual transactions. This has continued from 2023. It has been a particular feature of the middle market, where reputational and relationship impacts (for the sponsor and lenders) and disturbance to the underlying business are key factors.

A key common theme has been overindebted businesses who are not hedged adequately against unexpected stubborn inflation, higher for longer interest rates and supply chain issues. Often loan terms are loose such that there are limited early warning signs with pressure first manifesting itself in liquidity issues. For lenders in these situations, particularly private credit funds, we have stressed "preparedness" to accept control of a business. This is certainly not a positive desire to take control but readiness in case that becomes the optimal way to preserve value. Running a business is a quite different proposition and requires an infrastructure and skillset very different to solely being a lender to a business, however close a lender may have been to the credit. Preparedness and an ecosphere of professionals who have experience in these situations (eg sector specialists and turnaround directors) becomes critical to recovery strategies.

Liability management transactions (LMTs) and "creditor on creditor violence"

It wouldn't be a review of 2024 and look forward to 2025 without some mention of LMTs. Mainly confined to the US and the larger end of the market, these are transactions where borrowers use flexibility in their documentation to facilitate a restructuring of their liabilities without having to resort to a formal restructuring or insolvency procedure.

These options can be divided between two main categories:

- "Self-help" where companies restructure without having to approach lenders, often bringing in new money unilaterally; and
- "Lender consent" where borrowers must obtain the consent of lenders in order to amend financing terms.

LMTs often allow a borrower to be more aggressive with its plans than otherwise (certainly in the case of self-help) and can often result in conflict between creditors if a certain group (usually creditors actively participating in the LMT by consenting or providing new money) achieve a better position to the detriment of others (normally non-participating creditors) – so called "creditor on creditor violence".

This hasn't been so prevalent in the European market to date. However, in some large European stressed situations such as Hurtigruten, Selecta, Oriflame and Altice, lenders have taken pre-emptive steps to specifically protect themselves against such risks by entering into co-operation agreements. Co-operation agreements are, in short, a form of non-aggression pact between lenders governing voting and debt transfers – crucially the debtor is not party to these agreements.

[1] Re AGPS BondCo PLC [2024] EWCA Civ 24.
[2] UK Commercial Property Finance Holdings Ltd v Cine-UK Ltd & Anor [2024] EWHC 2475 (Ch).
[3] In the Petition of Dobbies Garden Centres Limited [2024] CSOH 111.
[4] See our case study for more information.
[5] DLA Piper advised the company in relation to this transaction.
[6] DLA Piper, London and Madrid advised the Jumbo Agent in connection with this transaction.

What geographical trends are you seeing?

From a country perspective, my colleagues in Germany have been consistently busy – Germany has been a hotspot of activity across real estate and automotive in particular and it is anticipated that Germany will continue to experience higher levels of distress.
If we're crystal ball gazing into 2025, France may be one to watch given the political risks associated with the dissolution of the national assembly in June 2024 as this may result in a blow to investor confidence – closely followed by the UK from the impacts of some of the changes brought in by the Autumn budget on employment in particular, plus higher borrowing costs.

Are we nearing a downturn? Can we expect an uptick in defaults?

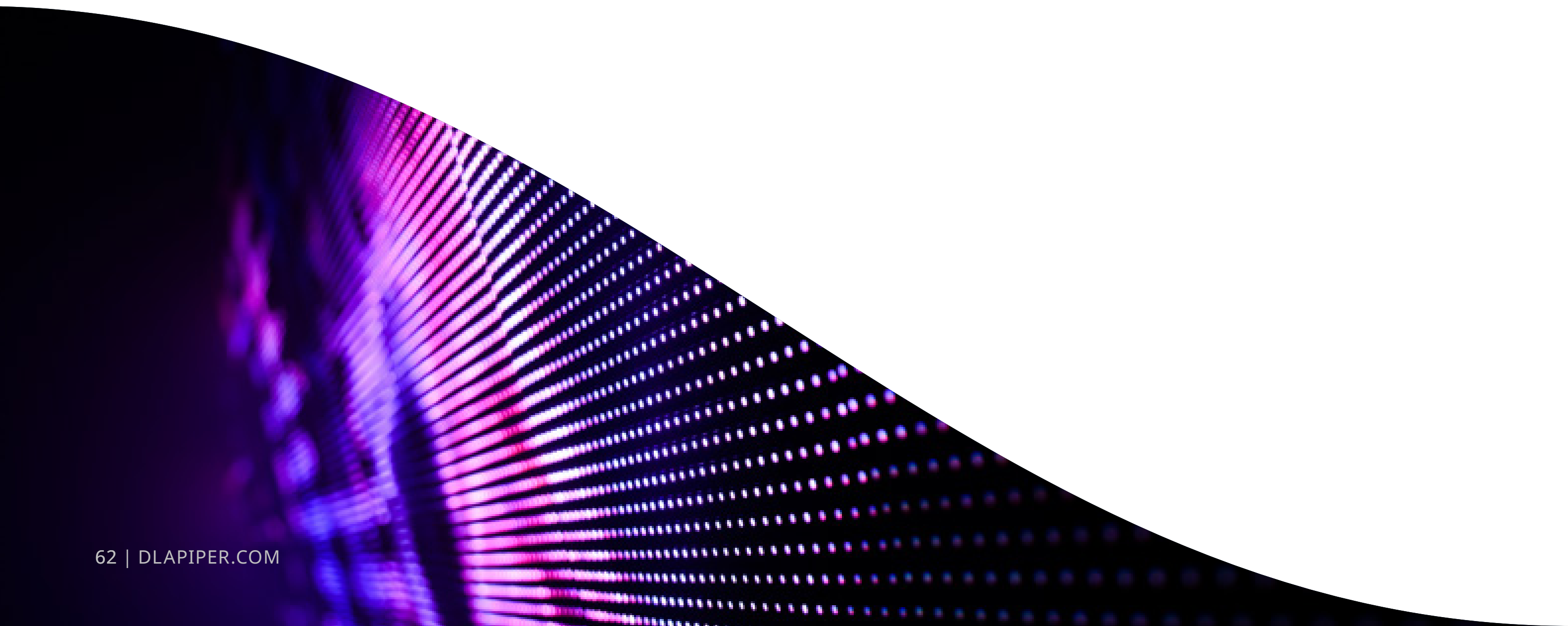
There's still significant dry powder chasing deals, so while the macroeconomic position (higher for longer interest rates in particular) and geopolitical risks (new administration in the US and possible tariffs) are slightly different to those that brought us into 2024, the conditions for strong borrowers with good relationships with existing lenders on the whole are still positive.

On the lender side, elevated interest rates (provided a borrower can pay) may mean that lenders can be more selective over the type of deal they want rather than chasing yield in an aggressive fashion at the expense of credit quality. Of course, higher interest rates means that those over-leveraged structures, eg leveraged buy-out structures that were financed at the height of cheaper money during the pandemic, may run into liquidity challenges when combined with specific sector issues. The first manifestation of distress however, rather than events of default, may be liquidity issues, given the weaker covenants that often accompanied those transactions which therefore lack early warning triggers.

It's difficult to accurately track defaults in private credit in particular, but one area that has come into focus is the impact of the growth in private credit and the spread of techniques used in private credit deals into what might have previously been bank deals.

Taking PIK as an example, PIK has proven a very flexible tool in those structures where private credit started (eg deals that were a growth story that required a flexibility which meant they weren't capable of being taken on by banks). Use of PIK isn't necessarily a sign of financial distress – it offers short-term relief to borrowers that need it, though it can introduce long-term risks. However, we are seeing PIK / PIK toggles employed in transactions where the rationale for PIK is questionable. Fundamentally there's a question as to why the debtor, in the absence of a growth or investment story, has the option to PIK. Can a borrower who, unplanned, elects to PIK after one quarter actually afford the financing or is a default being masked? Again, some of this may lead to "late" defaults or liquidity stress before any default manifests itself.

David Ampaw
Partner
UK



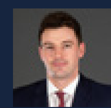
Spotlight on restructuring activity across Asia

"General themes in Asia remain similar to those in 2024; diversification of capital away from China and local markets, with India, Australia and South Korea being the main beneficiaries in terms of markets in APAC. Private credit remains a hot topic, but it remains nascent, and a very small part of the lending market compared to Europe and the US so, plenty of scope for growth together with plenty of lessons to be learnt along the way. The use of inter-conditional and parallel schemes of arrangement and restructuring plans involving Hong Kong and the UK may become the newest trend in the restructuring market whereby debtors seek to drastically resize their balance sheets in the face of dissenting creditors across classes. If the technique proves successful for one Chinese real estate developer expect 2025 to be awash with similar cases."

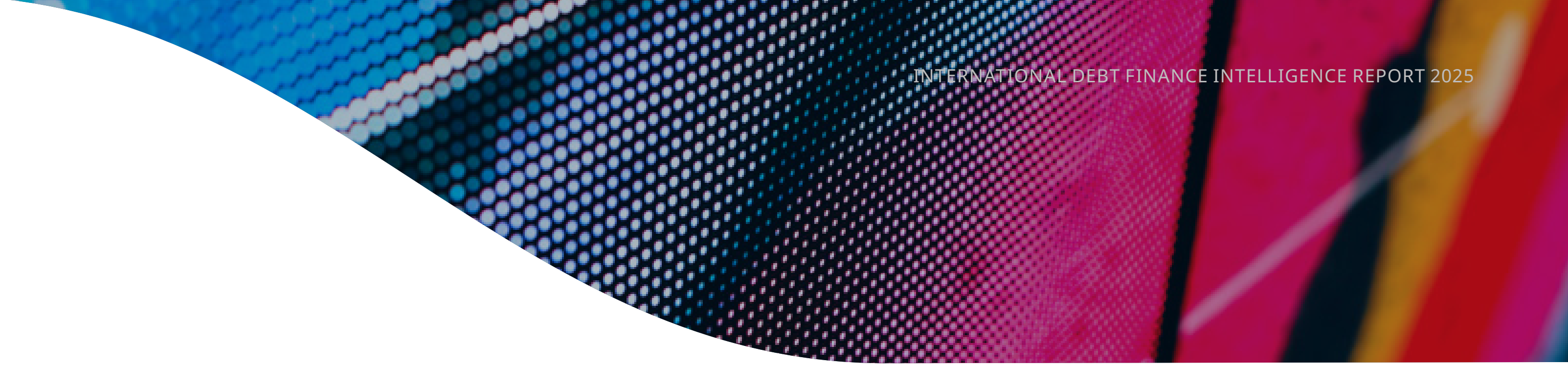
Jared Green
Partner
Singapore

Spotlight on super senior/ unitranche dynamics

"Whilst super senior lenders are generally supportive of their borrowers, it is not a surprise that if the borrower becomes distressed the super senior lender would want to be actively involved in any restructuring discussions. Whether or not they have a seat at the table will depend on the severity of any breach and if a Material Event of Default has occurred. If it has, then we see lenders behaving as you would expect – requesting enhanced MI reporting, tightening covenants and restricting basket flexibility. Whilst this might be unpalatable for borrowers, given the relative size of the super senior tranche compared to the term debt, it is arguably "hard but fair". Often it is a precursor to the super senior lenders looking to be refinanced out."



Charles Weems
Partner
UK



Let’s talk: Infrastructure finance with Derwin Jenkinson

What is infrastructure debt?

Infrastructure debt has its origins in both leverage and project finance. It also encompasses other financing techniques, like holdco and shareholder financings and certain forms of structured finance, like whole business securitisation.

The most appropriate form of infrastructure debt for a borrower will depend on the progress of the relevant asset(s) through the lifecycle. Infrastructure financings of new build infrastructure will borrow more from project financing principles, whereas assets in the operating phase (which are often the target of M&A activity) are more likely to be financed using acquisition financing principles based on a modified version of leverage finance. In many cases the financing will reflect a hybrid approach. For example, an asset that was originally financed using project finance (a greenfield financing), may evolve through its lifecycle into being financed on a more corporate finance basis (reflecting a brownfield asset) – but for example with residual lender protections for key contracts and counterparties.

The key components of infrastructure finance are assets in the energy and infrastructure sector and an equity investor and lender base that understands the asset class who, in most cases, are looking to structure a financing on a running yield basis rather than (as is more typical for PE) a return model based on capital gains on exit. Of course, that’s not to suggest that equity investors aren’t looking for multiples on investment on exit. But cashflow-based lending (rather than, for example, loan to value) underpins the structure, including the debt sizing and financial covenant package.

An acquisition financing will typically consist of a large acquisition facility, a capex facility that might be 25% of the acquisition facility size and a smaller working capital facility. A project financing will primarily consist of a facility sized to cover the construction costs but may also include standby construction facilities and a VAT or working capital facility. In both cases a debt service reserve facility may also be used as an alternative to a debt service reserve account to cover 6 or 12 months of debt service.

Other financing structures may include an equity bridge loan. For a multi-source financing, eg under a perpetual debt platform, a significant proportion of the debt will be refinancing debt alongside term and revolving facilities available for general corporate purposes, which may include the ability to pay dividends up to the lock-up ratio levels.

Who are the key infrastructure debt providers in the market?

Commercial and investment banks, private placement investors (including US private placements), public bond investors, multilateral banks, national infrastructure banks and sovereign wealth funds as well as specialist infrastructure debt funds and in some cases distressed debt investors.

The right lender base will depend on the size of the facility, whether the financing is for a greenfield or brownfield borrower, the desired maturity of the debt (with long-term lending being a common feature of infrastructure debt) and the bullet or amortising repayment profile.

The debt structure will depend on the revenue profile of the business and its economic life, as well as any renewal/replacement risks that could interrupt cashflows and therefore affect debt maturities by increasing refinancing risk. Equally, event driven financings, such as acquisition finance supporting M&A, will likely favour commercial banks, while other lenders are more likely to participate in long-term financings that may include perpetual debt programmes designed to offer full portability (ie no prepayment trigger) on a change of control of equity investors.

How has the infrastructure debt landscape changed in recent years and why has it grown as an asset class?

The volume of energy and infrastructure debt in the market has expanded enormously since the 2008 financial crisis. There are two key drivers to that trend: investment in energy transition and security; and digital infrastructure. That has significantly increased the number of investors and lenders in the market and the transaction volumes.

But infrastructure debt has also been hit by more constrained lender appetite in recent years at the same time as reduced M&A activity due to the gap between buyer and seller expectations. Most market commentators are expecting the level of finance activity to increase as soon as interest rates start to reduce materially.

As the scope of assets capable of being financed with “infrastructure debt” has increased, we’ve also seen certain sub-sectors experience difficulties that weren’t typical in the sector as originally defined.

COVID-19 caused significant disruption to long-term steady state assets, such as airports, that were previously almost considered immune from such risks. Similarly, digital infrastructure has involved taking more market risk in some cases and that competition has, for example, created challenges in some of the fibre-optic sub-sector.

Technology risks and volatile power markets have also created more challenging financing conditions in the energy sector. But the energy and infrastructure asset class is still less cyclical than other asset classes because of the “essentiality” of the services provided. So, despite these challenges, the market has remained and will continue to be robust.

What are the emerging trends in infrastructure debt to look out for in the coming period?

The differences between the various forms of infrastructure financings have become more pronounced as the adjacent financing techniques have matured.

> *What’s happening in private credit and leverage markets is now a more important benchmark for infrastructure finance, and those markets have been converging for sponsor-backed deals.*

Data centre financings have accessed much higher leverage multiples (eg up to 15x) than would be typical (eg 6x). And, because of the scale of the financing needs, they’re revitalising the use of public markets, with securitisations being one of the latest emerging trends.

Many sponsors are keen to invest in infrastructure platforms that need financing flexibility for buy and build strategies. The growth of specialist infrastructure debt lenders has increased the number of large ticket bilateral facilities, rather than club financings which previously prevailed.

A more challenging geopolitical environment has only increased lenders’ sensitivity to certain geographies and the prominence of state-backed or sovereign wealth strategic financings, who also have an agenda to drive energy transition, security and, increasingly, economic growth.

Derwin Jenkinson
Partner
UK

Part eleven

Innovative financing solutions: Holdco PIK financings

In last year's report we predicted that mid-market participants would continue to explore innovative financing solutions – and this has held true. One of the solutions we've seen sponsor-backed borrowers turn to has been Holdco PIK financings – a structure that involves debt being provided to a holding company above the operating group.

Indicative pricing

Traditional senior debt
400-500 bps

Unitranche
600-700 bps

Holdco PIK
1000-1200 bps

We've seen sponsors raise additional capital in this way to fund acquisitions, dividend re-capitalisations and plug funding gaps. Traditionally, Holdco financings were primarily confined to the high-yield bond market. However, in the current market, we see both private credit funds and traditional bank lenders active in this space.

Why would a business use a Holdco PIK facility?

As mentioned earlier in this report, leverage has been on the decline in recent years as a result of the challenging economic backdrop and the all-in cost of financing. Holdco financings enable a business to achieve an extra 1x to 1.5x of leverage on top of the debt that sits at the operating company (opco) level. This can be an attractive solution for sponsors for a number of reasons. First, PIK interest is capitalised and added to the principal balance of the loan (and therefore not paid in cash), which eases the debt servicing pressures on the operating group. This structure can also reduce the amount of equity a sponsor has to contribute as part of an acquisition, preserving equity for other investments or purposes. Of course, these advantages come at a price given the lender has limited recourse to the operating group in terms of credit support.

Risks and challenges for the lender

Holdco PIK structures present unique risks and challenges for lenders. Here are some key considerations, highlighting the importance of thorough due diligence and careful structuring to mitigate risks and protect the lender's interests.

Structural subordination: Holdco PIK facilities are structurally subordinated to any senior debt at the operating company level. This means that in a downside scenario, the lender may have limited recourse to the operating company's assets, which increases the risk of non-recovery.

Lack of control: The lender at the Holdco level often has limited control over the activities of the operating group. This lack of control can make it difficult to influence negotiations in the event of a downside scenario.

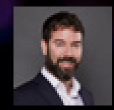
Payment default risk: The likelihood of a payment default under a Holdco PIK facility is reduced as a result of interest payments being capitalised throughout the life of the instrument. However, this also means that the principal amount owed grows over time, which results in a significant bullet payment to be made (or refinanced) at maturity.

Enforcement challenges: The security available at the Holdco level is often limited to the shares it holds in its subsidiary. In the event of a default, enforcing security interests over the shares of the borrower can be complex and may trigger a change of control, requiring repayment of senior debt. Additionally, the value of the equity may be limited.

Covenant-lite in nature: Holdco PIK facilities are often covenant-lite, meaning they have no financial maintenance covenants. This can delay the detection of financial distress and limit the lender's ability to take corrective actions.

Market conditions: The ability to raise additional capital or to refinance a Holdco PIK facility can be affected by market conditions. In a high-interest-rate environment, for example, the cost of refinancing may create a challenge for the borrower.

> *"In 2024 (and early 2025) we worked on a number of transactions with highly complex capital structures, often involving a holdco PIK facility, in order to optimise financing packages for larger sponsor-backed assets. Usually to facilitate acquisitions by increasing leverage through the structure, sometimes as a bridge to another event."*



Neil Campbell
Partner
UK

Key features

Deal terms will of course vary from deal to deal. Here we outline some of the key market terms of a Holdco PIK facility and how they're likely to differ from the credit agreement at the opco level.

Pricing – as outlined above, pricing will generally be higher than the opco senior debt, but interest payments are typically capitalised and added to the principal loan amount.

Termination date – the maturity date will typically fall after that of the opco senior debt.

Mandatory prepayment – the Holdco PIK facility will often be limited to exit events (such as a change of control orsale of all or substantially all of the assets of the company). The focus tends to be on preserving cash for other investment purposes – so the Holdco facility is less likely to include an excess cash sweep for example.

Financial covenants – Holdco PIK facilities are generally structured on a covenant-lite basis, meaning they won't include a traditional leverage-based financial covenant.

Events of default – from a drafting perspective, the list of events will generally mirror the opco credit agreement, but practically the risk of an Event of Default is reduced by the lack of scheduled payment and financial covenants in the Holdco PIK facility.

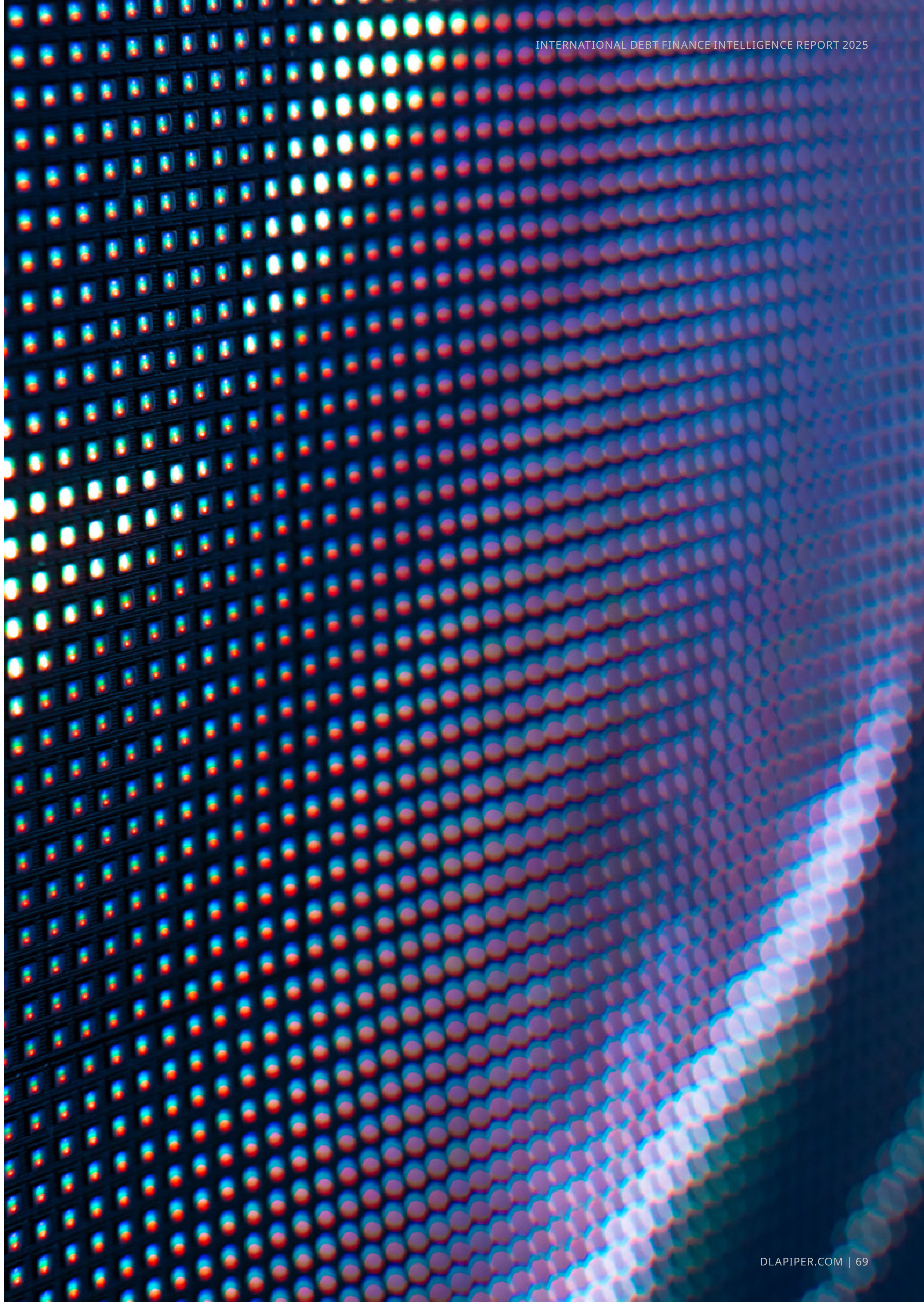
Various "Permitted" definitions – it's common for the controls in a Holdco PIK facility to be set by reference to an incurrence condition that needs to be satisfied on a pro-forma basis to prevent leakage.

Security package – generally more limited than the security package in support of the senior opco debt as a result of the holding company having very few assets. Security will often be limited to a charge over the shares and security over any other key assets of the holdco, such as bank accounts (including the account in which distributions are paid from the opco up to the holding company).

Anti-layering provisions – additional restrictions are typically included to prevent additional debt being incurred by an intermediary company between the holding company and operating group.

Anti-short circuit provisions – included to prevent the bypassing of the holding company, ensuring that any new equity injections from the sponsor and any cash returns from the operating company group are made via the holding company.

"Good behaviour" letter – the PIK lender may require the sponsor to grant it enhanced information rights, in the form of access to group commissions information and reports. The letter may also deal with additional notification and consultation rights in the event of a restructuring at the operating company level.



Part twelve

Fund finance: Beyond traditional sublines

Access to liquidity and tailored financing solutions remains a key focus for funds due to slower fundraising and a tougher exit environment. Alongside traditional subscription lines, funds can explore increasingly diverse and innovative financing offerings in the market, where capital is available across the debt and equity structure. Alternative options beyond sublines include preferred equity solutions, net asset value (NAV) financing and continuation vehicles.

In the past year, given the prevailing macroeconomic environment, the recycling of capital may have been slower, and NAV lending activities have varied across the spectrum of both lenders and borrowers. However, with new lender entrants to the market, including credit funds and insurance backed investors, activity levels in all fund finance sectors are expected to increase in the next 12 months.

NAV financings 2.0

While using NAV facilities isn't new for funds, the use case has spread across the fund eco-system. In a typical NAV facility, the borrowing capacity is determined by the NAV of the borrower's underlying investment portfolio. In their most prevalent application, NAV facilities empower general partners (GPs) to provide liquidity and support to portfolio companies without needing to sell assets.

The NAV financing market is evolving. "NAV financings 2.0" can be more complex than the first-generation NAV financings and the "V" in the "Loan-To-Value" metric is an increasingly important focus for lenders, who may be considering enhanced due diligence, structuring and monitoring processes.

On the fund side, limited partners (LPs) are paying attention to the types of leverage being used by GPs and how the debt mechanics work alongside the fund documentation and existing leverage in the structure. Developments such as the guidance note issued by the Institutional Limited Partners Association (ILPA) on NAV facilities have helped conversations between fund managers, LPs and lenders. Accordingly, standard terms in debt documentation and/or fund documentation are expected to evolve, in particular with the LMA recently establishing fund finance specific working parties and taskforces.

We're also seeing more LPs, including institutional investors, such as sovereign wealth funds, pension funds, and other types of investors in private funds, such as family offices, using the NAV product themselves.

The NAV loan use case for LPs is frequently similar to the NAV loan use case for GPs, albeit with some interesting departures. For some LPs, including Employee Retirement Income Security Act (ERISA) plans or sovereign wealth funds, NAV facilities may help to alleviate over-allocation to certain private equity managers or sectors and free up capital on the balance sheet. They also allow LPs to maintain positions in high-performing private equity assets while generating liquidity to meet liabilities or reinvest in other areas.

Other LPs, such as secondary funds, use NAV facilities with more traditional use cases, including additional funding for follow-on investments, capital funding for existing investments, or funding distributions to their own LPs. NAV facilities offer flexible and tailored finance solutions for LPs so this upward trend of LPs accessing the NAV market is expected to continue.

"Whilst the fund finance market continues to evolve, demand for subscription lines, and their liquidity management benefits, remains robust. As these products can carry high risk weights under regulatory capital regimes, we have seen an increasing number of lenders explore their options for significant risk transfers for the purposes of regulatory capital optimisation. Alongside the continued use of subscription line facilities, we are also seeing more innovative and bespoke product offerings enter the wider fund finance market, including in the NAV financing space."

Mei Mei Wong
Partner
UK

Risk management and regulatory considerations

Lenders providing NAV facilities to LPs are encouraged to be aware of the inherent risks and the structuring required to mitigate these risks. There are often fund, tax, and regulatory considerations that underlie NAV facilities, and extensive legal and business diligence of the underlying asset portfolio is likely required to minimise any risks.

The fundamental risk in NAV facilities lies in accurately valuing the underlying portfolio of assets. This risk is likely best addressed with third-party valuation rights or dispute rights, especially where the applicable LP is an anchor investor in the applicable fund or has affiliates that manage the applicable fund it invests in. From inception, stress testing is also important to understand the impact of varying market conditions on valuations.

Many underlying limited partnership agreements contain provisions restricting any indirect pledge or transfer of the applicable fund or portfolio interest. Even where perfection is straightforward, issues may exist with respect to equity pledge enforceability due to the cost of enforcement and the hurdles to obtain required third-party consents.

Also, significant tax liabilities for the ultimate equity holders of the borrower could arise from pledging the equity of any non-US entities, as the pledge may constitute a deemed dividend affecting the fund sponsors and investors.

In this context, lenders have demonstrated an increasing appetite for Luxembourg structures to mitigate risks associated with the security package perfection and enforcement. Luxembourg law provides a robust legal framework for security interests over financial instruments and claims, and associated rights (including shares, cash, and securities standing on bank accounts and intragroup receivables), particularly through the 2005 Luxembourg law over financial collateral arrangements, as amended.

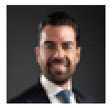
NAV lenders can help mitigate some of the risks in part through diligence measures and enhanced reporting. Two special interest areas for lenders to diligence from a legal perspective are:

- transfer restrictions on underlying assets, and
- fund or portfolio investment terms that may affect the value, liquidity, or risk profile of the assets.

Time will tell whether the increased interest in NAV facilities will result in new regulatory compliance requirements. In the EU, the Alternative Investment Fund Managers Directive (AIFMD) regulates the financial activities of alternative investment fund managers, and the directive imposes leverage limitations (and disclosure requirements) on in-scope funds, affecting how much capital institutional investors can borrow.

There's growing interest in NAVs in Asia, but lenders there generally prefer a more conservative approach by requiring collateral support for NAV facilities. The collateral varies from equity pledges to security over bank accounts. Given the challenges in providing collateral, lenders have seen an increasing interest in hybrid facilities that include aspects of both a subscription line financing and a NAV facility.

> *"The legal framework in Luxembourg enables the creation of pledges that are efficient, cost effective – no requirement for notarisation or for a registration on a public register – and protective of lender rights they notably offer simplified and court-tested remedies (in particular exercise of rights or enforcement mechanisms), strong protection against third-party claims, and bankruptcy-proof status."*



Xavier Guzman
Partner
Luxembourg

Innovation and tailored solutions

NAV financing offers institutional investors a mechanism that can be uniquely tailored to a specific need while maintaining the integrity of long-term investment strategies. These facilities enable investors to access additional capital without the need to liquidate existing assets, preserving the continuity and potential growth of their investment portfolios. NAV finance is still evolving and solidifying its position in the next generation of financing options. NAV loans are a useful financing tool for both GPs and increasingly LPs.

The fund finance market is set to see continued innovation and tailored solutions, driven by the commercial need for liquidity together with sustained and diverse lender appetite. Flexibility and listening to the borrower's liquidity needs at the particular point in the fund's life cycle are key differentiating factors for lenders.

The LMA's attention to the fund finance market is also expected to drive meaningful progress. As an active participant in a number of LMA's fund finance working parties and taskforces, DLA Piper is seeing the industry come together to proactively shape the future of fund finance.

Charlotte Lewis-Williams
Partner
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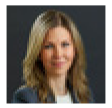
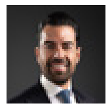
Mei Mei Wong
Partner
UK

Soumitro Mukerji
Partner
Singapore



Elizabeth Bradley
Partner
Ireland



Xavier Guzman
Partner
Luxembourg

Part thirteen

What lies ahead?

As we said at the start, 2024 didn't quite deliver on the level of deal activity that a lot of people were hoping for. While the prospects for a pick-up in M&A activity look positive, 2025 is unlikely to be without its challenges given the present tensions and uncertainties across the globe. With large amounts of capital waiting to be deployed, it will be imperative that lenders continue to provide competitive terms to win mandates.
Knowing "what's market" during this period of change will be key.

Matthew Christmas
Partner
UK

ESG

"ESG remains an important consideration for many market participants, even in the face of political headwinds. Maximising impact and credibility of ESG finance products will require continued focus on transparency, together with development and maintenance of robust frameworks in which market participants can operate within with confidence. Regulators and key industry bodies such as the LMA, APLMA and the LSTA, both individually and in collaboration, will continue to play a crucial role in shaping these frameworks. Collectively these frameworks will be key in increasing attractiveness of ESG finance products, which will encourage increased use by market participants."

Mei Mei Wong
Partner
UK

Asset-based lending

"The themes in this report of innovation and diversification are certainly relevant to asset-based lending in 2025. More credit funds are adopting ABL techniques and/or developing their own ABL products, and ABL providers are exploring ways to collaborate more effectively with other funders in the capital structure, including with pre-agreed intercreditor positions. The ABL industry should grow its market share in 2025 and borrowers should benefit from the increased competition by way of more sophistication in covenants, more 'stretch' in facility terms and more flexibility in operational requirements/reporting."

Joseph Frew
Partner
UK

Continued convergence

"Documentary terms and features in the mid-market space will continue to be scrutinised by market participants and advisors resulting in "cleaner" documents and an increased focus on the real deal terms. Specific focus will need to be applied at the grid phase – that's where the deal terms are struck. The upper mid-market will continue to feature terms influenced by market convergence – where the widely syndicated markets (TLB/high yield) and their advisors overlap with the upper mid-market. This is more prevalent in jurisdictions with a more active upper mid-cap or large cap space like the UK, less so in real mid-cap markets like the Netherlands."

Max Mayer
Partner
Netherlands

High yield bonds

"The high yield market looks poised to continue to grow in 2025, in line with increasing annual supply since a low in 2022. Many European issuers face an impending need to refinance – particularly those that have not accessed the market since the historic years of 2020/2021. We continue to see the delta between expectation and offer price on buyouts narrow, which will lead to further high yield issuance to fund sponsor-backed leveraged buyouts. Corporate issuers should be ready to access the market to address capital structure needs as global politics, particularly around tariffs, will mean larger short-run fluctuations in high yield primary pricing."

Gordon Houseman
Partner
UK

Fund finance

"Fund finance is on an upward trajectory, with private equity and other firms open to exploring innovative financing solutions. The quest to maximise yield using levered sleeves and investment strategies will continue to drive this sector's growth. Finding the right mix of creative structuring and financial leverage will enable such firms to stay ahead."

Charlotte Lewis-Williams
Partner
UK

Germany

"The outlook for the German leveraged finance market in 2025 remains uncertain. A key challenge for the market is the vulnerability of many German business models to current trade tensions and geopolitical crises, strict environmental regulations and high energy prices. A lot will also depend on the outcome of the German federal elections – at the time of writing this is adding to the uncertainty in the market. Following the election there's hope that structural reforms are implemented and, investor confidence and risk appetite will return – H2 could be much stronger. Key sectors will continue to be the tech sector (with companies seeking financing for innovation, expansion and acquisitions, in areas such as AI, cybersecurity and cloud computing) and the healthcare sector (with companies seeking financings for healthcare services and innovations in medical technology)."

Wolfram Distler
Partner
Germany

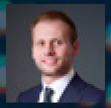
Ireland

"The Irish loan market continued to be busy in 2024, and market participants are cautiously optimistic that increased M&A activity (particularly in sectors like energy and infrastructure, technology, industrials and healthcare) in 2025 will bring further opportunities in the year ahead. As Ireland remains an attractive destination for private equity investment, we've seen a sustained increase in private credit, as well as an uptick in bid processes for sought after assets – trends that look set to continue in 2025. Lenders have also continued to show flexibility on terms in order to remain competitive (particularly on refinancings), and sustainability linked provisions are becoming increasingly common place."

Liam Mills
Legal Director
Ireland

Netherlands

"The leveraged finance outlook for 2025 in the Dutch market is shaped by several key trends observed across Europe. Optimism surrounds an expected increase in M&A activity, driven by improved market conditions such as better valuations, growth in exits, and reduced interest rates. This positive sentiment is particularly strong in sectors like healthcare, technology and energy, although retail may face more challenges, potentially leading to higher loan default rates and increased restructurings. The Dutch leveraged finance market is expected to thrive from this increased M&A activity, in which private credit continues to play a significant role, with direct lenders and traditional banks intensifying their competition to attract borrowers."



Benno Leemans
Advocaat
Netherlands

Australia

"We expect to see more from private credit funds and other non-bank lenders in the Australian market. This shift will not only diversify the funding sources available to businesses in Australia, but it will also foster a more competitive and resilient financial landscape."

Alex Regan
Partner
Australia

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